UNIT 5 – Board of Directors

Main Questions

Question 1 (C2) (ICAI SM)

The Articles of Association of Rajasthan Toys Private Limited provide that the maximum number of Directors in the company shall not exceed 10. Presently, the company has 8 directors. Its Board of Directors desires to increase the number of directors from 8 to 16. Advise whether under the provisions of the Companies Act, 2013, the Board can do so?

Answer

According to Section 149(1) of the Companies Act, 2013, every company shall have a Board of Directors consisting of individuals as directors and shall have a minimum number of 3 directors in the case of a public company, 2 directors in the case of a private company, and one director in the case of a One Person Company. The maximum number of directors shall be 15.

The Section 149(1) states that a company may appoint more than 15 directors after passing a special resolution.

From the provisions of section 149 (1) as above, though the minimum number of directors may vary depending on whether the company is a public, private or a one-person company, the maximum number of directors is same for all types of companies i.e. 15 directors.

In the given case since the number of directors is proposed to be increased from 8 to 16, the company will be required to comply with the following provisions:

a) Alter its Articles of Association by passing a special resolution, so as to increase the number of directors in the Articles from 10 to 16;
b) Also take approval for increasing the maximum number of directors to 16 by means of a special resolution passed by the members at a duly convened general meeting.

Question 2 (C2) (ICAI SM)

XYZ Limited is an unlisted public company having a paid-up share capital of twenty crore rupees as on 31st March, 2019 and a turnover of one hundred fifty crore rupees during the year ended 31st March, 2019. The total number of directors is thirteen. Referring to the provisions of the Companies Act, 2013 answer the following:

(i) State the minimum number of independent directors that the company should appoint.

(ii) How many independent directors are to be appointed in case XYZ Limited is a listed company?

Answer

(i) According to the Rule 4 of the Companies (Appointment and Qualification of Directors) Rules, 2014, the following class or classes of companies shall have at least 2 directors as independent directors:
   a) the Public Companies having paid up share capital of ₹ 10 crores or more or
   b) the Public Companies having turnover of ₹ 100 crores or more or

c) the Public Companies which have, in aggregate, outstanding loans, debentures and deposits, exceeding ₹ 50 crores.

In the present case, XYZ Limited is an unlisted public company having a paid-up capital of ₹ 20 crore as on 31st March, 2019 and a turnover of ₹150 crore during the year ended 31st March, 2019. It is assumed that 31st March, 2019 is the last date of latest audited financial statements. Accordingly, as per stated Rules it must have at least 2 directors as independent directors.

(ii) According to Section 149(4) of the Companies Act, 2013, every listed public company shall have at least one-third of the total number of directors as independent directors. Any fraction contained in such one-third numbers shall be rounded off as one.

In the present case, XYZ Limited is a listed company and the total number of directors is 13. Hence, in this case, XYZ Limited must have at least 5 directors (1/3 of 13 is 4.33 rounded as 5) as independent directors.

Question 3 (C2) (7M) (Dec 2024 PQ)

Mirinda Ltd., is an unlisted company with paid-up capital of & ₹ 40 cr. and turnover of ₹ 350 cr. The Company has the following top management personnel:

a) Mr. Rajib Mishra, who is promoter and Managing Director of the company.
b) Mr. Pritam is the Non-executive Chairman.
c) Mr. Charan Chadha - Director (Finance)
d) Mr. Anurag Sinha -Director (Operation) is related to the promoter.
e) Ms. Supriti - Company Secretary

The company is in a plan for expansion and therefore wants to avail sizeable loan from a nationalised bank. The bank wants to nominate a director in the Board.

The MD seeks your advice in the following points:

(i) Is the present Board properly constituted? If not, what is the non-compliance?
(ii) Can Mr. Anurag Sinha be considered as independent director?
(iii) What will be the status of the director if nominated by bank? If the said nominated director is a woman, would she satisfy the requirement of women director?
(iv) Is there any requirement of a CFO?

You are required to advise the MD suitably.

Answer

(i) In the Given case, Mirinda Ltd. is an unlisted public company with:

- Paid-up share capital: ₹40 crore
- Turnover: ₹350 crores.

As per Section 149(1) and Rule 3 of the Companies (Appointment and Qualification of Directors) Rules, 2014, an unlisted public company must appoint at least 2 independent directors if:

a) Paid-up share capital is ₹10 crore or more,
b) Turnover is ₹100 crore or more, or
c) Outstanding loans, debentures, and deposits exceed ₹50 crore.

Mirinda Ltd. exceeds the turnover threshold of ₹100 crore, so it requires at least 2 independent directors. From the given data, there's no mention of any independent directors, so there is non-compliance with the requirement of appointing independent directors.
According to Section 149 of the Companies Act, 2013, A public company will be required to mandatorily appoint at least 1 woman director if it fulfils any of the following criteria:

a) having paid-up capital of ₹ 100 crores or more, or
b) a turnover of ₹ 300 crores or more.

So Additionally, such a company must appoint at least 1 woman director. There is no mention of a woman director, so this is another non-compliance. The Board is not properly constituted.

(ii) No, Mr. Anurag Sinha cannot be considered an independent director because: He is the Director (Operation) and he is related to the promoter, Mr. Rajib Mishra, which disqualifies him under the definition of an independent director in Section 149(6).

(iii) A director nominated by the bank will be classified as a Nominee Director under Section 161(3) of the Companies Act, 2013. If the nominated director is a woman, she can be regarded as the woman director required under Section 149(1), if appointed as per the Rule 3 of the Companies (Appointment and Qualification of Directors) Rules, 2014

(iv) As per Section 203 of the Companies Act, 2013 & as per Rule 8 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, every listed company and every other public company having a paid-up share capital of ₹ 10 crores or more shall have whole-time KMP (including CFO). As per Section 203, CFO is to be appointed as a KMP since Paid up Capital is more than ₹ 10 crores. So, there is a requirement for a CFO.

Question 4 (C8) (3M) (Dec 2017 Old PQ)

B Ltd. is a listed company and it has been served with a notice for appointment of small shareholders director. Referring to the provisions of the Companies Act, 2013, advise on the following:
What is the tenure of small shareholders director and whether he can be re- appointed as such, after expiry of his tenure? Also state whether he can be appointed as an officer of the company on expiry of his tenure as small shareholders' director.

Answer

According to Section 151 of the Companies Act, 2013, The tenure of small shareholders director shall not exceed a period of 3 consecutive years and on the expiry of the tenure, such director shall not be eligible for re-appointment.
A small shareholders director shall not, for a period of 3 years from the date on which he ceases to hold office on a small shareholders' director in a company, be appointed in or be associated with such company in any other capacity, either directly or indirectly.

Question 5 (C5) (ICAI SM)

ADJ Limited has 10 directors on its Board. Two of the directors have retired by rotation at an Annual General Meeting. The place of retiring directors is not so filled up and the meeting has also not expressly resolved 'not to fill the vacancy'. Since the AGM could not complete its business, it is adjourned till the same day in the next week, at the same time and place. At this adjourned

meeting also the place of retiring directors could not be filled up, and the meeting has also not expressly resolved 'not to fill the vacancy'. Referring to the provisions of the Companies Act, 2013, decide:

(i) Whether in such a situation the retiring directors shall be deemed to have been re- appointed at the adjourned meeting?

(ii) What will be your answer in case at the adjourned meeting, the resolutions for re- appointment of these directors were lost?

(iii) Whether such directors can continue in case the directors do not call the Annual General Meeting?

Answer

According to Section 152(7) of the Companies Act, 2013, if at the annual general meeting at which a director retires and the vacancy is not so filled up and the meeting has not expressly resolved not to fill the vacancy, the meeting shall stand adjourned to same day in the next week, at the same time and place, or if that day is a national holiday, till the next succeeding day which is not a holiday, at the same time and place.

Section 152(7) further provides that if at the adjourned meeting also, the place of the retiring director is not filled up and that meeting also has not expressly resolved not to fill the vacancy, the retiring director shall be deemed to have been re-appointed at the adjourned meeting, unless

- at the adjourned meeting or at the previous meeting a resolution for the re - appointment of such director was put and lost or
- he has given a notice in writing expressing his unwillingness, or
- he is disqualified.

Therefore, in the given circumstances answers to the asked questions shall be as under:

(i) In the first case, applying the above provisions, the retiring directors shall be deemed to have been re-appointed.

(ii) In the second case, where the resolutions for the reappointment of the retiring directors were lost, the retiring directors shall not be deemed to have been re-appointed.

(iii) Section 152(6)(c) states that 1/3rd of the rotational directors shall retire at every AGM. Accordingly, the directors will retire as soon as the AGM is held on its due date. Further, it is necessary for the company to hold the AGM, where the directors liable to retire by rotation shall retire. In case AGM is not held till the last date on which it should have been held, the term of retiring directors ends on this last date and it cannot be extended till the new date when the AGM shall be held.

Question 6 (C5) (5M) (June 2019 Old PQ)

The Promoters of M/s Soma Limited, a listed public company propose to have the strength of the Board of Directors as eleven. They also propose to make the Managing Director and Whole Time Directors as directors not liable to retire by rotation. Advise on the following matters as per the provisions of the Companies Act, 2013:

(i) How many of the remaining directors will have to retire by rotation every year at the Annual General Meeting (AGM)?

(ii) For the purpose of increasing the strength, certain nominations were received to nominate candidates for contesting elections. One of the nominations was rejected by the directors as it was received after sending the notice of AGM and that too after the working hours of the last day on which nomination should have been received.

Answer

(i) According to Section 152(6) of the Companies Act, 2013, Out of total number of directors, at least 2/3rd shall be liable to retire by rotation. Articles may provide that more than 2/3rd or all directors shall be rotational directors. Out of such 2/3rd, 1/3rd must retire in every AGM, the number nearest to the 1/3rd shall retire from office. Therefore, the Directors liable to retire by rotation are 11 x 2/3 i.e., 7.3 or 8, and No. of directors to retire at AGM: 8 x 1/3 i.e., 2.67. Hence, nearest is 3.

(ii) According to section 160 of the Companies Act, 2013, a person who is not a retiring director in terms of section 152 shall, subject to the provisions of this Act, be eligible for appointment to the office of a director at any general meeting, if he has, not less than 14 days before the meeting, left at the registered office of the Company, a notice in writing under his hand signifying his candidature as a director.

In the instant case, one nomination was rejected by the directors as it was received after sending the notice of AGM and that too after the working hours of the last day on which nomination should have been received i.e., 14th day. Hence, the contention of the directors are valid.

Question 7 (C6) (7M) (June 2025 PQ)

Mr. Jhunjhunwala proposed the name of Mr. Dandpat as Director, not liable to retire by rotation, in Vida Ltd. and submitted a notice in writing on 15/07/2024 along with a deposit of ₹1,00,000. State the validity of this proposal of Mr. Jhunjhunwala in the following situations:

(i) If Vida Ltd. is a Government Company and the Government has been duly intimated.

(ii) If Vida Ltd. has a provision in its Articles for election of Directors by ballot.

(iii) If it is a public limited company and the company has not served individual notices on members, but 7 days before the meeting, advertises such candidature or intention in a local vernacular newspaper in the district where the registered office is situated.

Answer

(i) If Vida Ltd is a Government Company and the Government has been intimated.

As per the proviso to Section 160 (1) and Rule 7(1) of the Companies (Appointment and Qualification of Directors) Rules, 2014, Section 160 does not apply to a Government Company. If the Ministry or Department concerned has been intimated about the proposed appointment of the person as a director, the proposal is valid even without compliance under Section 160.

(ii) If the Articles provide for election of Directors by ballot.

The exemption from Section 160 in case of election of directors by ballot is available only to Section 8 companies. Since Vida Ltd. is a normal limited company and not a Section 8 company, Section 160 is applicable.

In the given case, Mr. Jhunjhunwala has duly given notice in writing and deposited ₹1,00,000, thereby complying with the requirements of Section 160. Hence, the proposal of Mr. Dandpat is valid. However, as per Section 152 read with Section 10, the appointment of directors is subject to the Articles of Association, which are binding on the company and its members. Since the Articles provide for election of directors by ballot, the appointment, if made, must be decided through ballot voting.

Conclusion: The proposal is valid, but the appointment must be made by ballot in accordance with the Articles of Association.

(iii) Public Company with advertisement only in vernacular newspaper

Under Section 160(2) and Rule 13, where a company opts not to send individual notices, it must publish an advertisement:

- At least once in English, in an English newspaper circulating in the district of the registered office; and
- At least once in vernacular language, in a vernacular newspaper circulating in that district;
- Such publication must be not less than seven days before the meeting.

In the given case, the company has published only in the vernacular newspaper but not in the English newspaper, resulting in partial compliance.

Conclusion: The requirement of due notice is not fully complied with; hence, the candidature notice is invalid and the election proceedings are irregular.

Question 8 (C7) (7M) (June 2024 PQ)

The Board of Directors of Mckinsy Ltd., a listed company, appointed Dinesh, as an Executive Director at the Board Meeting held on June 1, 2023. The Company took up this appointment of Dinesh, for approval of the shareholders at its Annual General Meeting (AGM) held on September 29, 2023, but the same was not approved by the shareholders. However, he was appointed as an Additional Director on whole time employment by the Board at its meeting held on September 30, 2023 by passing a resolution to hold the office of directorship till the conclusion of the next AGM, to be held for the year 2024. Is appointment of Dinesh as an Additional Director, by the Board justified? Examine the correctness of the aforesaid appointment.

Answer

a) According to section 161(1) of the Companies Act, 2013, the Articles of a company may provide that the Board of Directors shall have the power to appoint any person, other than a person who fails to get appointed as a director in a general meeting, as an additional director at any time who shall hold office up to the date of the next annual general meeting or the last date on which the annual general meeting should have been held, whichever is earlier.

b) As per the provisions of the SEBI (LODR) Regulations, 2015, a listed entity shall ensure that approval of shareholders for appointment of a person on the Board of the company as a director or as a manager is taken at the next general meeting or within a time period of 3 months from the date of appointment, whichever is earlier.

c) Further it provides that the appointment or a reappointment of a person, including as a managing director or a whole-time director or a manger, who was earlier rejected by the shareholders at a general meeting, shall be done only with the prior approval of shareholders.

In the light of above, the appointment of Dinesh as Director is not justified.

Question 9 (C7) (ICAI SM)

Prince Ltd. desires to appoint an additional director on its Board of directors. The Articles of the company confer upon the Board to exercise the power to appoint such a director. As such M is appointed as an additional director. In the light of the provisions of the Companies Act, 2013, examine:

(i) Whether M can continue as director if the annual general meeting of the company is not held within the stipulated period and is adjourned to a later date?

(ii) Can the power of appointing additional director be exercised at the Annual General Meeting by the members?

(iii) As the Company Secretary of the company what checks would you make after M is appointed as an additional director?

Answer

According to Section 161(1) of the Companies Act, 2013, the articles of association of a company may confer on its Board of Directors the power to appoint any person, other than a person who fails to get appointed as a director at the general meeting, as an additional director at any time and such director will hold office up to the date of the next annual general meeting or the last date on which such annual general meeting should have been held, whichever is earlier.

(i) M cannot continue as director till the adjourned annual general meeting, since he can hold the office of directorship only up to the date of the next annual general meeting or the last date on which the annual general meeting should have been held, whichever is earlier. Such an additional director shall vacate his office latest on the date on which the annual general meeting should have been held.

(ii) The power to appoint additional directors vests with the Board of Directors and not with the members of the company. The only condition is that the Board must be conferred such power by the articles of the company.

(iii) As a Company Secretary, I would put the following checks in place in respect of M's appointment as an additional director:

a) He must have got the Directors Identification Number (DIN).
b) He must furnish the DIN and a declaration that he is not disqualified to become a director.
c) He must give his written consent in Form DIR-2 on or before his appointment as director and such consent stands filed with the Registrar within 30 days of his appointment.
d) His appointment is made by the Board of Directors.

Question 10 (C7) (ICAI SM)

The Board of Directors of XYZ Ltd. filled up a casual vacancy caused by the death of Mr. P by appointing Mr. C as a director on 3rd April, 2019 which was subsequently approved by the members in the immediate next general meeting. Unfortunately Mr. C expired on 15th May, 2019 after working about 40 days as a director. The Board now wishes to fill up the casual vacancy by appointing Mrs. C in the forthcoming meeting of the Board. Advise the Board in this regard keeping in view the provisions of the Companies Act, 2013.

Answer

According to Section 161(4) of the Companies Act, 2013, if the office of any director appointed by the company in general meeting is vacated before his term of office expires in the normal course, the resulting casual vacancy may, subject to the articles of the company, be filled by the Board of Directors at a meeting of the Board which shall be subsequently approved by members in the immediate next general meeting.

Further, any person so appointed shall hold office only up to the date up to which the director in whose place he is appointed would have held office if it had not been vacated.

a) In view of the above provisions, in the given case, the appointment of Mr. C in place of the deceased director Mr. P was in order. In normal course, Mr. C could have held his office as director up to the date to which Mr. P would have held the same.
b) However, Mr. C expired on 15th May 2018 and again a vacancy has arisen in the office of director owing to death of Mr. C who was appointed by the board and approved by members to fill up the casual vacancy resulting from P's demise.
c) Vacancy arising on the Board due to vacation of office by the director appointed to fill a casual vacancy in the first place, does not create another casual vacancy as section 161 (4) clearly mentions that such vacancy is created by the vacation of office by any director appointed by the company in general meeting.
d) Hence, the Board cannot fill the vacancy arising from the death of Mr. C who was appointed to fill a casual vacancy.
e) The Board may however appoint Mrs. C as an additional director provided the articles of association authorise the Board to do so, in which case Mrs. C will hold the office up to the date of the next annual general meeting or the last date on which the annual general meeting should have been held, whichever is earlier.

Question 11 (C7) (ICAI SM) (6M) (Dec 2019 Old PQ)

Bright Motors (P) Limited at the Annual General Meeting (AGM) held on 30.09.2016 appointed Mr. Anmol as a Non-Executive Director on the Board of the company for a period of three years. On 2nd October, 2017, Mr. Anmol suffered a severe heart failure and expired. The Board of Directors of the company on 16th October, 2017 appointed Mr. Prateek to fill the casual vacancy so created. The appointment of Mr. Prateek was made for a term of three years by the Board. Subsequently at the AGM held on 29-09-2018, Mr. Prateek's appointment was not proposed or approved as the Board was of the view that it is not required. But the CFO of the company is of the opinion that the Board of Directors have contravened the provisions of the Companies Act, 2013 in respect of non-approval of the appointment of Mr. Prateek and his office tenure. Decide.

Answer

According to Section 161(4) of the Companies Act, 2013, if the office of any director appointed by the company in general meeting is vacated before his term of office expires in the normal course, the resulting casual vacancy may, subject to the articles of the company, be filled by the Board of Directors at a meeting of the Board which shall be subsequently approved by members in the immediate next general meeting.

Further, any person so appointed shall hold office only up to the date up to which the director in whose place he is appointed would have held office if it had not been vacated.

a) In the given question, the casual vacancy caused due to death of Mr. Anmol (who was appointed by the company in AGM held on 30.9.2016, for a period of 3 years) is filled by the Board of Directors by appointing Mr. Prateek for a period of three years.

b) However, the appointment of Mr. Prateek for a period of three years is in contravention of above stated provisions as he can hold office only up to the date up to which Mr. Anmol would have held office if it had not been vacated.

c) Further, as per the provisions of the Act, the appointment of Mr. Prateek ought to be approved by members in the immediate next general meeting. However, the appointment of Mr. Prateek was not even proposed or approved in the AGM held on 29.9.2018.

d) Hence, the appointment of Mr. Prateek is in contravention of the provisions of the Companies Act, 2013.Therefore, the opinion of CFO is correct.

Question 12 (C7) **(ICAI SM)**

You are the CFO and in-charge of legal compliances of large multi-national company in India. The Board of Directors of the Company comprises of directors who are Indian as well as Foreign Nationals. Mr. "X", who is a Director (Business Development) on the Board is very often on business tour abroad. He approached you and wants to know from you the regulatory provisions of the Companies Act, 2013 relating to appointment of Alternate Directors. Analyse the following situations and advise suitably. Mr. X referring to the provisions of the Companies Act, 2013.

a) To how many directors can a person be appointed as an alternate director and how many votes does he have in one Board Meeting.

b) In case of private company, where an alternate director is appointed in place of a non- executive director whose term is indefinite, then, what will be the tenure of such alternate director, provide the original director does not return to India for a longer period say 3-4 years?

c) Can an Executive Director/Whole Time Director/Managing Director appoint alternate directors?

Answer

a) According to Section 161(2) of the Companies Act, 2013, the Board of Directors of a company may, if so authorized by its articles, appoint a person, not being a person holding any alternate directorship for any other director in the company or holding directorship in the same company, to act as an alternate director for a director during his absence for a period of not less than 3 months from India.

According to Section 165, no person shall hold office as a director, including any alternate directorship, in more than 20 companies at the same time. However, the maximum number of public companies in which a person can be appointed as a director shall not exceed 10.

Hence, in the instant case, a person can be appointed as an alternate director for only 1 director in the same company but maximum 20 different companies. An alternate director will have only 1 vote as he can hold alternate directorship for 1 director only in the same company.

b) According to Section 161(2) of the Companies Act, 2013, an alternate director shall not hold office for a period longer than that permissible to the original director and shall vacate the office when the original director returns to India. If the term of office of the original director is determined before he so returns to India, any provision for the automatic re-appointment of retiring directors in default of another appointment shall apply to the original, and not to the alternate director.

Hence, in the instant case, the alternate director shall hold office till the time original director returns to India, even if the period is as long as 3-4 years.

c) From the above provision stated in a), it is clear that an alternate director can be appointed for any director. Hence, an alternate director can be appointed for Executive director/ Whole Time Directors / Managing Director however, not by them but by the Board of Directors.

Question 13 (C7) (6M) (Dec 2023 Old PQ) (5M) (Dec 2018 Old PQ)

Comment with reference to the provisions of the Companies Act, 2013 in respect of the following:

(i) Mr. A who is not qualified to be appointed as an independent director is appointed by the Board of Directors of IJK Limited, for an independent director, as an alternate director.

(ii) On the request of bank providing financial assistance, the Board of Directors of ABC Limited decides to appoint on its Board, Mr. P, as nominee director. Articles of Association of the Company do not confer upon the Board of Director any such power. Further, there is no agreement between the company and the bank for any such nomination.

Answer

(i) According to Section 161(2) of the Companies Act, 2013, no person shall be appointed as an alternate director for an independent director unless he is qualified to be appointed as an independent director under the provisions of this Act.

In the present case, Mr. A who is not qualified to be appointed as an independent director is appointed by the Board of Directors of UK Limited, for an independent director, as an alternate director. Thus, the said appointment is not valid.

(ii) According to Section 161(3) of the Companies Act, 2013, the Board may appoint any person as a director nominated by any institution in pursuance of the provisions of any law for the time being in force or of any agreement or by the Central Government or the State Government by virtue of its shareholding in a Government company, subject to the articles of a company.

In the present case, on the request of bank providing financial assistance the Board of Directors of ABC Limited decides to appoint on its Board Mr. P, as nominee director. Articles of Association of the company do not confer upon the Board of Directors any such power and further there is no agreement between the company and the bank. Thus, the appointment of

Mr. P as nominee director is not valid as Articles do not confer upon the Board of Directors any such power.

Question 14 (C7) (4M) (June 2023 Old PQ)

Mr. X Vice President of ABC Ltd. was appointed as an additional director on 1st January, 2022. On the office of managing director falling vacant he was appointed as managing director on existing remuneration. Whether Mr. X will cease to be managing director in the next Annual General Meeting?

Answer

a) According to Section 161(1) of the Companies Act, 2013, An additional director holds office up to the date of next annual general meeting.

b) As per Explanation to Section 152(7), "retiring director" means a director retiring by rotation. So, he is not a "retiring director" as per Explanation to Section 152(7). Therefore, an additional director may be appointed as a regular director in the annual general meeting only if the conditions prescribed under section 160 are complied with.

c) The opening words of section 2(54) of the Companies Act, 2013 defines a "managing director" as "Managing director means a director who…….". Thus, the definition suggests that a managing director has to be a director first.

d) In the given case, Mr. X will hold office upto the date of next annual general meeting. Since, he will cease to be a director, he will also vacate the office of managing director.

e) Further, even if the annual general meeting is not held, he will cease to be an additional director on the last day, on which the annual general meeting should have been.

f) However, if a notice is given of the candidature of Mr. X under section 160 and at the annual general meeting he is appointed as a director, he shall continue as a managing director.

Question 15 (C10) (ICAI SM)

Mr. Dhruv is a Director of LT Limited and XT Limited respectively. LT Limited did not file its financial statements for the year ended 31st March, 2016, 2017 & 2018 respectively with the Registrar of Companies (ROC) as mandated under the Companies Act, 2013. LT Limited also did not pay interest on loans taken from a Public Financial Institution from 1st April, 2017 and also failed to repay matured deposits taken from public on due dates from 1st April, 2017 onwards.

Answer the following in the light of the relevant provision of the Companies Act, 2013:

(i) Whether Mr. Dhruv is disqualified under Companies Act, 2013 and if so, whether he can continue as a Director in LT Limited? Further can he also seek reappointment when he retires by rotation at the AGM of XT Limited scheduled to be held in September,2019?

(ii) Mr. Dhruv is proposed to be appointed as an Additional Director of MN Limited in June 2019. Is he eligible to be appointed as an Additional Director in MN Limited? Decide.

Answer

According to section 164(2) of the Companies Act, 2013, person who is or has been a director of a company,

a) which has not filed financial statements or annual returns for any continuous period of 3 financial years; or
b) has failed to repay the deposits accepted by it or pay interest thereon or to redeem any debentures on the due date or pay interest due thereon or pay any dividend declared and such failure to pay or redeem continues for 1 year or more,

shall not be eligible to be re-appointed as a director of that company or appointed in other company for a period of 5 years from the date on which the said company fails to do so.

Provided that where a person is appointed as a director of a company which is in default, he shall not incur the disqualification for a period of 6 months from the date of his appointment.

Also, according to section 167(1), the office of a director shall become vacant in case he incurs any of the disqualifications specified in section 164.

Provided that where he incurs disqualification under section 164(2), the office of the director shall become vacant in all the companies, other than the company which is in default.

Thus, in the light of the said provisions of the Act and the facts of the question:

(i) Yes, Mr. Dhruv is disqualified under the Companies Act, 2013, as LT Limited did not file financial statements for a period of three years. Also, the LT Limited has defaulted in the repayment of matured deposits taken from public since 1st April, 2017.
Mr. Dhruv can continue as a director in LT Limited in the light of the above provisions since it is the company in default. Whereas he has to vacate the office of director in XT Limited. Mr. Dhruv cannot be reappointed as director in XT Limited.

(ii) Mr. Dhruv cannot be appointed as an Additional Director of MN Limited because as per section 164(2), he is not eligible to be appointed in other company for a period of 5 years from the date of such default.

Question 16 (C10) **(ICAI SM)**

Mr. John is a director of MNC Ltd, which had accepted deposits from public. The financial position of MNC Ltd. took a southward turn and became bad to worse and ultimately, it failed to repay the deposits which fell due for payment on 10th April, 2018 and such repayment has not been made till 5th May, 2019. Another company JKL Ltd. wants to appoint the said Mr. John as its director at its annual general meeting to be held on 6th May, 2019. You are required to state with reference to the provisions of the Companies Act, 2013 whether Mr. John can be appointed as a director of JKL Ltd.

Answer

Section 164 (2) of the Companies Act, 2013 states that where a person is or has been a director of a company which has failed to repay its deposit on due date and such failure continues for one year or more, then such person shall not be eligible to be appointed as a director of any other company for a period of 5 years from the date on which such company, in which he is a director, failed to repay its deposits.

In the instant case, MNC Ltd., has failed to repay its deposit on due dates and the default continues for more than 1 year. Hence, Mr. John will not be eligible to be appointed as a director of JKL Ltd.

Question 17 (C10) (3+3+2+4= 12M) (Dec 2021 Old PQ)

Mr. Vikram, a Director of M/S Tubelight Limited has made default in filing of annual accounts and annual returns with the Registrar of Companies for a continuous period of 3 financial years ending on 31st March 2016. Examine the validity of the following under the Companies Act, 2013.

(i) Whether Mr. Vikram can continue to be a Director of M/S Tubelight Limited (defaulting company) and also M/S Green light Limited where he is also a director.

(ii) State Whether he can be reappointed as Director in these two companies.

(iii) What would be your answer be in case Mr. Vikram is a nominee Director of a Public Financial Institution?

(iv) what would be your answer in case the defaulting company (i,e. M/S Tubelight Limited) is a private limited company ?

Answer

According to section 164(2) of the Companies Act, 2013, person who is or has been a director of a company

c) which has not filed financial statements or annual returns for any continuous period of 3 financial years; or

d) has failed to repay the deposits accepted by it or pay interest thereon or to redeem any debentures on the due date or pay interest due thereon or pay any dividend declared and such failure to pay or redeem continues for 1 year or more,

shall not be eligible to be re-appointed as a director of that company or appointed in other company for a period of 5 years from the date on which the said company fails to do so.

Provided that where a person is appointed as a director of a company which is in default, he shall not incur the disqualification for a period of 6 months from the date of his appointment.

Also, according to section 167(1), the office of a director shall become vacant in case he incurs any of the disqualifications specified in section 164.

Provided that where he incurs disqualification under section 164(2), the office of the director shall become vacant in all the companies, other than the company which is in default.

Thus, in the light of the said provisions of the Act and the facts of the question:

(i) In the first case Mr. Vikram can continue to be director of the defaulting company namely M/s Tubelight Ltd. whereas in Green light Ltd., he cannot continue as a director because that company is not defaulting company.

(ii) Further, Mr Vikram is a Director of Tubelight Ltd. and Green Light Ltd. Tube Light Ltd did not file financial statements for a continuous period of 3 financial years ending 31 March 2016. This failure constitutes a disqualification under Section 164(2) and consequently Mr Vikram will not be eligible for reappointment in Tubelight Ltd. and Green light Ltd for a period of 5 years from the date on which the said company incurs the default.

(iii) In case Mr. Vikram is a nominee director of a Public Financial Institution then in such case section 164 is not applicable.

(iv) In case Tubelight Ltd is a Private Ltd Company. According to Section 164(3) a private company may by its articles provide for any disqualifications for appointment as a director in addition to those specified in sub section (1) and (2) of Section 164

Thus, in this case the answer would be same as above i.e., Mr Vikram has to vacate his office of directorship from Tubelight Ltd and Green light Ltd and cannot be reappointed in both the companies for a period of 5 years from the date on which the said company incurs the default.

Question 18 (OS) (4M) (Dec 2018 Old PQ)

Excel Limited is a listed company with a turnover of Rs. 60 crores in Financial Year 2016-2017. The Company appoints Ms. R as the Women Director on 1st March 2017. Ms. R is already a Director in twelve companies including ten Public Companies. State briefly whether the appointment of Ms. R in Excel Limited is valid as per provision of the Companies Act, 2013.

Answer

As per section 165(1) of the Companies Act, 2013, no person shall hold office as director, including any alternate directorship, in more than 20 companies at the same time.

Out of the limit of 20, the maximum number of public companies in which a person can be appointed as a director shall not exceed 10.

Private companies that are, either holding or subsidiary company of a public company shall be included in reckoning the limit of public companies in which a person can be appointed as a director.

In the instant case, Ms. R was appointed as a women director on 1st March, 2017 in Excel Limited. She was already holding directorship in 12 companies including 10 public companies.

As Ms. R was already a director in 10 public companies, her appointment in Excel Limited is not valid as it will lead to her directorship in 11 public companies.

In this case, either she can choose between the companies in which she wishes to continue to hold the office of director or resign her office as director in the other remaining companies to maintain the limit of holding of directorship.

Question 19 (C13) (4M) (June 2018 Old PQ)

Vijay, a director, resigns after giving due notice to the company and he forwards a copy of resignation in e-form DIR-11 to the Registrar of Companies within the prescribed time. What would be the status of Vijay if the company fails to intimate about the resignation of Vijay to RoC?

Answer

a) According to Section 168 of the Companies Act, 2013, A director may resign from his office by giving a notice in writing to the company.
b) The Board shall on receipt of such notice take note of the same.
c) The company shall within 30 days from the date of receipt of notice of resignation from a director, intimate the Registrar in Form DIR -12 and post the information on its website, if any.
d) Such director may also forward a copy of his resignation along with detailed reasons for the resignation to the Registrar within 30 days from the date of resignation in Form DIR-11 along with the prescribed fee.
e) The resignation of a director shall take effect from the date on which the notice is received by the company or the date, if any, specified by the director in the notice, whichever is later.

In the present case, Vijay, a director resigns after giving due notice to the company and he forwards a copy of resignation in e-form DIR-11 to the Registrar within the prescribed time.
If the company fails to intimate about the resignation of Vijay to Registrar, even then the resignation of Vijay shall take effect from the date on which the notice is received by the company or the date, if any, specified by Vijay in the notice, whichever is later.

Additional Questions

Question 1 (C8) (7M) (MQP Dec 2024 Set 1) (MQP June 2024)

Explain how the directors are elected by small shareholders appointed under Section 151?

(or)

'There was persistent demand from the small shareholders to have a director nominated by them to look after the interest of small shareholders.' – discuss procedure of appointment of such director.

Answer

There was persistent demand from the small shareholders to have a director nominated by them to look after the interest of small shareholders.

According to Section 151 of the Companies Act, 2013, A listed company may have one director elected by such small shareholders in such manner and on such terms and conditions as may be prescribed.

"Small Shareholders" means a shareholder holding shares of nominal value of not more than ₹ 20,000 or such other sum as may be prescribed.

The Companies (Appointment and Qualification of Directors) Rules, 2014 provides for the procedure for appointment of small shareholders' director according to which:

a) A listed company, may upon notice of not less than
   (i) 1000 small shareholders, or
   (ii) 1/10th of the total number of such shareholders, whichever is lower
   have a small shareholders' director elected by the small shareholders.
b) However, a listed company may opt to have a director representing small shareholders' suo moto.
c) The small shareholders intending to propose a person as a candidate for the post of small shareholders' director shall leave a notice of their intention with the company at least 14 days before the meeting under their signatures specifying the name, address, shares held and folio number of the person whose name is being proposed for the post of director and of the small shareholders who are proposing such person for the office of director.
d) The notice shall be accompanied by a statement signed by the person whose name is being proposed for the post of small shareholders' director stating:
   (i) his DIN
   (ii) that he is not disqualified to become a director under the Act
   (iii) his consent to act as a director of the company.

Question 2 (C3 & C5) (MQP Dec 2025 Set 2)

Describe the legal provisions under Section 152 of the Companies Act, 2013 concerning the appointment of directors and the manner of filling vacancies caused by retiring directors.

Answer

Appointment of First & Subsequent Directors

1) According to Section 152(1), Where no provision is made in the articles of a company for the appointment of the first director, the subscribers to the memorandum who are individuals shall be deemed to be the first directors of the company until the directors are duly appointed.
2) In case of a One Person Company, an individual being member shall be deemed to be its first director until the director or directors are duly appointed by the member in accordance with the provisions of this section.
3) According to Section 152(2), Save as otherwise provided in this Act, Every director shall be appointed by the company in general meeting.
4) According to Section 152(3), No person shall be appointed as a director of a company unless he has been allotted the Director Identification Number (DIN).
5) According to Section 152(4), Every person proposed to be appointed as a director by the company in general meeting or otherwise, shall furnish his Director Identification Number (DIN) and a declaration that he is not disqualified to become a director under this Act.
6) According to Section 152(5), A person appointed as a director shall not act as a director unless he gives his consent to hold the office as director and such consent has been filed with the Registrar within 30 days of his appointment in Form DIR-12 along with the fee as prescribed by the Company.
7) Director shall submit form DIR-2 with the Company on or before the appointment, containing DIN, his declaration and consent.
8) The Ministry of Corporate Affairs has clarified via Notification that section 152 (5) shall not apply:
    a) where appointment of such director is done by the Central Government or State Government, as the case may be.
    b) to a section 8 company.

Rotation of Directors

According to Section 152(6), Unless the articles provide for the retirement of all the directors at every AGM, not less than 2/3rd of total number of directors of public company shall,

(i) be the persons whose period of office is liable to determination by retirement of directors by rotation and

(ii) save as otherwise expressly provided in this Act, be appointed by the company in general meeting.

The Remaining directors, shall, unless otherwise expressly provided in this Act, be appointed by the company in general meeting.

For the purposes of this section, "total number of directors" shall not include –

- Independent directors
- Nominee directors

- Small shareholder directors

a) At the first annual general meeting of a public company held after the date of the general meeting at which the first directors are appointed and at every subsequent annual general meeting, 1/3rd of such of the directors for the time being as are liable to retire by rotation, the number nearest to one-third, shall retire from office.
b) The retiring directors shall be those who have been longest in office since their last appointment, but as between persons who became directors on the same day, those who are to retire shall, in subject to any agreement among themselves, be determined by lot.
c) At the annual general meeting at which a director retires as aforesaid, the company may fill up the vacancy by appointing the retiring director or some other person thereto.

Filing up of the vacancy of retiring director

According to Section 152(7),

a) If the vacancy of the retiring director is not so filled-up and the meeting has not expressly resolved not to fill the vacancy, the meeting shall stand adjourned till the same day in the next week, at the same time and place, or if that day is a national holiday, till the next succeeding day which is not a holiday, at the same time and place.
b) If at the adjourned meeting also, the vacancy of the retiring director is not filled up and that meeting also has not expressly resolved not to fill the vacancy, the retiring director shall be deemed to have been re-appointed at the adjourned meeting, unless:
   i) at that meeting or at the previous meeting a resolution for the re-appointment of such director has been put to the meeting and lost.
   ii) the retiring director has, by a notice in writing addressed to the company or its Board of directors, expressed his unwillingness to be so re-appointed.
   iii) he is not qualified or is disqualified for appointment.
   iv) a resolution, whether special or ordinary, is required for his appointment or re appointment by virtue of any provisions of this Act.
   v) Section 162 is applicable to the case.

Non applicability of section 152 (6) and (7)

a) A Government company, which is not a listed company in which not less than 51% of paid up share capital is held by the Central Government, or by any State Government or Governments or by the Central Government and one or more State Governments;
b) A subsidiary of a Government company, referred to in (a) above.

Question 3 (C7) (SM)

Discuss the appointing authority and tenure of additional director and normal director.

Answer

According to Section 161(1),

a) The Board of Directors of a company may, if so authorised by its articles, can appoint an additional director at any time.
b) In order the get the services, guidance and expertise of such persons, Board of directors have been given the power to select a person as director till next AGM.

c) A person, who fails to get appointed as a director in a general meeting, cannot be appointed as an additional director.
d) Additional director shall hold office up to the date of the next AGM or the last date on which the AGM should have been held, whichever is earlier.

According to Section 152(2), Every director shall be appointed by the company in general meeting, unless any specific method of appointment is provided in the Articles of Association.

Question 4 (7M) (MQP June 2025)

Describe how alternate director and nominee director can be appointed by companies.

Answer

According to Section 161(2),

a) The Board of Directors of a company may, if so authorised by its articles or by a resolution passed by the company in general meeting, appoint a person to act as an alternate director in place of another director (original director) during his absence for a period of not less than 3 months from India.
b) A person who is holding any alternate directorship for any other director in the company cannot be considered for appointment as above.
c) No person shall be appointed as an alternate director for an independent director unless he is qualified to be appointed as an independent director.
d) An alternate director shall not hold office for a period longer than that permissible to the original director in whose place he has been appointed and shall vacate the office if and when the original director returns to India.
e) Any provision for the automatic re-appointment of retiring directors in default of another appointment shall apply to the original, and not to the alternate director.
f) whether an alternate director shall be appointed or not and who shall be appointed is the prerogative of the Board and not the decision of the original director.

According to Section 161(3),

a) subject to the articles of a company, the Board may appoint
b) any person as a director nominated by any institution in pursuance of the provisions of any law for the time being in force or of any agreement or by the Central Government or the State Government by virtue of its shareholding in a government company.
c) It is worth mentioning here "nomination" do not mean "appointment".
d) The person appointed shall have to be appointed in the proper manner.

Question 5 (C10) (7M) (MQP Dec 2023)

Summarize the disqualifications of a director under section 164 of the Companies Act 2013.

Answer

According to this Section 164(1), A person shall not be eligible for appointment as a director of a company, if:

a) he is of unsound mind declared by a competent court.
b) he is an undischarged insolvent.

c) he has applied to be adjudicated as an insolvent and his application is pending.
d) he has been convicted by a court of any offence and sentenced to imprisonment for not less than 6 months and a period of 5 years has not elapsed from the date of expiry of the sentence. However, if a person has been convicted of any offence and sentenced to imprisonment for a period of 7 years or more, he shall not be eligible to be appointed as a director in any company.
e) an order disqualifying him for appointment as a director has been passed by a court or Tribunal and the order is in force.
f) he has not paid any calls in respect of any shares of the company held by him and 6 months have elapsed from the last day fixed for the payment of the call.
g) he has been convicted of the offence of dealing with related party transactions under section 188 at any time during the last preceding 5 years.
h) he is not allotted DIN
i) he has not complied with Section 165 relating to holding of maximum number of directorship.

According to Section 164(2), Person who is or has been a director of a company which:

a) has not filed financial statements or annual returns for any continuous period of 3 financial years or

b) has failed to repay the deposits or pay interest or to redeem any debentures on the due date or pay any dividend declared on preference shares and such failure continues for 1 year or more.

shall not be eligible to be re-appointed as a director of that company or appointed in other company for period of 5 years from the date on which the said company fails to do so. However, such director shall not incur the disqualification for a period of 6 months from the date of appointment.

Question 6 (C15) (SM)

Discuss situations when the office of director shall become vacant.

Answer

According to Section 167(1), The office of a director shall become vacant in case,

a) he incurs any of the disqualifications specified in section 164. Provided that where he incurs disqualification under section 164(2), the office of the director shall become vacant in all the companies, other than the company which is in default under that sub-section.
b) he absents himself from all the meetings of the Board of Directors held during a period of 12 months with or without seeking leave of absence of the Board.
c) he acts in contravention of the provisions of section 184 relating to entering into contracts or arrangements in which he is directly or indirectly interested
d) he fails to disclose his interest in any contract or arrangement in which he is directly or indirectly interested, in contravention of the provisions of section 184.
e) he becomes disqualified by an order of a court or the Tribunal.
f) he is convicted by a court of any offence, whether involving moral turpitude or otherwise and sentenced in respect thereof to imprisonment for not less than 6 months.
g) he is removed in pursuance of the provisions of this Act.

h) he, having been appointed a director by virtue of his holding any office or other employment in the holding, subsidiary or associate company, ceases to hold such office or other employment in that company.

UNIT 6 – Board Meetings and Procedures

Main Questions

Question 1 (C2) (7M) (MQP Dec 2023) (MQP Dec 2025 Set 2)

Three Board meeting of A Ltd. were held on 01.01.2022, 01.04.2022, 01.07.2022. In the fourth Board meeting scheduled for 27.10.2022, no matter could be discussed since the required quorum was not present, and so it was adjourned till 03.11.2022. In the adjourned Board meeting held on 03.11.2022, 5 matters were discussed and voted upon. Assess the situation, Has the company contravened any of the provisions of the Companies Act, 2013?

Answer

According to Section 173(1), Every company shall hold the first meeting of the Board of Directors within 30 days of the date of its Incorporation and subsequently minimum of 4 meetings shall be held every year provided that the gap between two consecutive board meetings shall not be more than 120 days.

a) In the present case, the Board meeting held on 27.10.22 was adjourned, and the adjourned Board meeting was held on 03.11.22.
b) The Board meeting held on 27.10.22 and adjourned Board meeting held on 03.11.22 shall not be deemed to be separate Board meetings, since an adjourned meeting is a mere continuation of the original meeting.
c) Accordingly, the Board meeting held on 27.10.22 and the adjourned Board meeting held on 03.11.22 shall be counted as one Board meeting only.

Thus, the company has held 4 Board meetings during the calendar year 2022.

a) The gap between 1st and 2nd Board meeting was not more than 120 days.
b) Similarly, the gap between the 2nd and 3rd Board meeting was not more than 120 days.
c) Regarding the gap between the 3rd and 4th Board meeting, the date of 3rd board meeting and 4th original board meeting should be considered.
d) This is so because, it shall be deemed that only one Board meeting was held on 27.10.2022 (date of 4th meeting).
e) As is evident, the gap between the 3rd Board meeting 1.07.22 and 4th Board meeting is not more than 120 days.

Since A ltd has held four Board meetings during the calendar year 2022, and the gap between no two consecutive Board meetings is more than 120 days, A Ltd has complied with section 173.

Question 2 (C2) (7M) (MQP June 2024)

Fair Tech Ltd is a public limited company formed 15 days before, to manufacture computer parts, having a small factory at Durgapur, West Bengal and registered office at Kolkata. There 4 directors, two from promoter and balance 2 as professionals, one being full time and the other as

non-functional. One of the promoter director is named as MD. Advise the company by interpreting the provisions of Company law, and help the by clarifying the following.

(i) Is there any necessary to call a Board meeting?
(ii) If so, within what time?
(iii) Suggest at least two important agenda items for the meeting.
(iv) 3 directors want the meeting to be held in Delhi. Examine the legal provision.
(v) Is necessary to appoint a CFO?
(vi) Is written notice necessary?
(vii) If so, how many days notice?

Answer

According to Section 173(1), Every company shall hold the first meeting of the Board of Directors within 30 days of the date of its Incorporation and subsequently minimum of 4 meetings shall be held every year provided that the gap between two consecutive board meetings shall not be more than 120 days.

According to Section 173(3), Every board meeting shall be called by giving at least 7 days' notice in writing to all the directors at their registered address.

Based on the situation as mentioned in the case the following clarification is as noted below:

(i) The first Board meeting to be held within 30 days from the day of incorporation. As the company is incorporated 15 days before, then the first meeting to be held within 15 days.
(ii) The appointment of first auditor and disclosure of interest of that director may be important agenda.
(iii) Board meeting can be held anytime in India.
(iv) As per Section 203 of the Companies Act, 2013, If the paid-up share capital is ₹ 10 crore or more, appointment of CFO is mandatory being important KMP as required.
(v) As per the section 173, written notice of board meeting in necessary.
(vi) Minimum 7 days notice to be given provided there is exemption under certain condition.

Question 3 (C2) (6M) (Dec 2025 PQ)

A public limited company wants to hold an urgent Board Meeting at a shorter notice.

As per the Companies Act, 2013, examine.

(i) whether the Board Meeting can be convened at a shorter notice and what conditions apply.
(ii) whether decisions can be taken at such a meeting without an independent director; and
(iii) if the meeting is held through video conferencing with directors in different locations, what shall be the venue of the meeting?

Answer

According to Section 173(3) of the Companies Act, 2013, a meeting of the Board shall be called by giving not less than 7 days' notice in writing to every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means. However, a meeting may be convened at shorter notice to transact urgent business, subject to compliance with specified conditions.

1) The notice must state clearly that the meeting is being held at a shorter notice.

2) When a company is required to appoint independent directors, the following provisions apply (as per the second proviso to Section 173(3) and Rule 3(3) of the Companies (Meetings of Board and its Powers) Rules, 2014):
   a) The presence of at least one Independent Director is mandatory for the meeting held at a shorter notice to transact urgent business.
   b) If no Independent Director is present at such meeting, then:
      - The decisions taken at the meeting shall be circulated to all the directors, and
      - Shall be final only on ratification by at least one Independent Director.
3) If the company does not have any Independent Director (for example, a private company not required to appoint one), then the decision taken shall be ratified by a majority of directors, unless it has already been approved at the meeting by a majority of the Board.

As per the Rule 3(6) of the Companies (Meetings of Board and its Powers) Rules, 2014, Where the meeting is conducted through video conferencing or other audio-visual means, the scheduled venue mentioned in the notice convening the meeting shall be deemed to be the venue of the meeting. All recordings of the proceedings shall also be deemed to have been made at such venue.

Based on the above Provisions –

(i) Yes, the Board Meeting may be held at a shorter notice, provided the prescribed conditions (see below) are fulfilled.

(ii) No, there will a requirement regarding independent director as mentioned above in the provisions 2) & 3).

(iii) Even if directors participate from different locations, the place stated in the notice shall be treated as the official venue of the meeting.

Question 4 (C2) (6M) (June 2017 Old PQ) (ICAI SM)

Examine with reference to the provisions of the Companies Act, 2013 whether notice of a Board Meeting is required to be sent to the following persons:

(i) An interested Director

(ii) A Director who has expressed his inability to attend a particular Board Meeting

(iii) A Director who has gone abroad (for less than 3 months).

Answer

(i) Section 173(3) of the Companies Act, 2013 makes it mandatory that every director needs to be given proper notice of every board meeting. It is immaterial whether a director is interested or not. In case of an interested director, notice must be given to him even though in terms of Section 184 he is restricted from engaging himself in discussion or voting at the meeting on the business in which he is interested.

(ii) In terms of section 173(3) even if a director states that he will not be able to attend the next Board meeting, notice must be given to that director also.

(iii) A director who has gone abroad is still a director. Therefore, he is entitled to receive notice of board meetings during his stay abroad. The Companies Act, 2013, allows delivery of notice of meeting by electronic means also i.e. through e-mail. Since, it permits a director to

participate in a meeting by video conferencing or any other audio- visual means also, in addition to physical presence.

Question 5 (C2) (4M) (Dec 2022 Old PQ) (ICAI SM)

Mr. K and Mr. L who are the directors of RR Limited informed the company about their inability to attend the Board meetings because the notice thereof was not served on them. Discuss whether there is any default on the part of RR Limited and the consequences thereof.

Answer

a) According to Section 173(3) of the Companies Act, 2013, a meeting of the Board shall be called by giving not less than 7 days' notice in writing to every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means.

b) Section 173(4) further provides that every officer of the company whose duty is to give notice under this section and who fails to do so shall be liable to a penalty of ₹ 25,000.

In the given case, as no notice was served on Mr. P and Mr. Q who are the directors of C-Tech Limited, every officer responsible for such default in serving notice shall be punishable with fine of ₹ 25,000 as required by Section 173 (4).

There are no specific provisions addressing the validity of a resolution passed by the Board of Directors when notice was not served to all directors. However, it is explicitly stated that notice must be sent to every director. A supreme court judicial order has established that resolutions passed in a board meeting are invalid if written notice is not provided to all directors. Consequently, even if the directors were aware of the meeting, it would not be considered valid, and any resolutions passed during such a meeting would also be invalid.

Question 6 (C2) (7M) (June 2018 Old PQ)

Examine the following aspect related to convening of board meeting with reference to the provisions of the Companies Act, 2013:

(i) The Chairman of Greenhouse Limited convened a board meeting and two weeks' notice was served on all directors of the company. Two of the independent directors on the board objected on the grounds that no proper agenda for the meeting was circulated.

(ii) Purple Florence Limited proposes to hold its board meeting at a shorter notice through video conferencing.

Answer

(i) According to section 173 (3) of the Companies Act, 2013, a meeting of the Board shall be called by giving not less than 7 days' notice in writing to every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means.

In the given case, two of the independent directors on the Board has objected on the grounds that no proper agenda for the meeting was circulated. The Companies Act, 2013 does not specifically provide for sending agenda along with the notice of the meeting. However, generally as a good secretarial practice, the notice is accompanied with the agenda of the meeting. Thus, the contention of the independent directors objecting on the grounds that no agenda for the meeting was circulated, does not hold good.

Further, the Chairman of Greenhouse Limited has convened the Board meeting by serving a two weeks' notice (i.e., more than 7 days). Hence, the meeting shall be valid.

(ii) According to Section 173 of the Companies Act, 2013,

a) The directors can participate in a meeting of the Board either in person or through video conferencing or other audio-visual means.

b) A meeting of the Board shall be called by giving not less than 7 days' notice in writing to every director at his address registered with the company. Provided that a meeting of the Board may be called at shorter notice to transact urgent business subject to the condition that at least one independent director, if any, shall be present at the meeting. Further, in case the independent directors are not present at such a meeting of the Board, decisions taken at such a meeting shall be circulated to all the directors and shall be final only on ratification thereof by at least one independent director, if any.

Hence, Purple Florence Limited can hold a board meeting at a shorter notice through video conferencing, for transacting urgent business subject to the condition that at least one independent director, if any, shall be present at the meeting. Further, if the independent directors are absent from the meeting of the Board, decision taken at such a meeting shall be circulated to all the directors and shall be final, only on ratification thereof by at least one independent director, if any.

Question 7 (C2) (4M) (Dec 2018 Old PQ) (7M) (MQP Dec 2024 Set 1)

The Board of Directors of Best Consultants Limited, registered in Kolkata, proposes to hold the next board meeting in the month of May 2017. They seek your advice in respect of the following matters:

(i) Can the board meeting be held in Chennai, when all the Directors of the Company reside at Kolkata?

(ii) Is it necessary that the notice of the board meeting should specify the nature of business to be transacted?

Advice with reference to the relevant provisions of the Companies Act, 2013

Answer

(i) There is no provision in the Companies Act, 2013 under which the board meetings must be held at any particular place. The Companies Act lays down the provisions for holding meetings by video conferencing, sending notices, procedures at the meeting etc. Therefore, there is no difficulty in holding the board meeting at Chennai even if all the directors of the company reside at Kolkata and the registered office is situated at Kolkata provided that the requirements regarding the holding of a valid board meeting and the other provisions relating to the signing of register of contracts, etc. are complied with.

(ii) According to section 173 (3) of the Companies Act, 2013, a meeting of the Board shall be called by giving not less than 7 days' notice in writing to every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means. There is no provision in the Act laying down the contents of the notice.

Hence, the notice may be interpreted as intimation of the meeting. However, considering the importance of Board Meetings and the responsibilities on the Directors for decisions taken at the meetings, it is crucial for them to be properly prepared and informed about the items to be discussed at the Board Meetings. As a matter of good secretarial practice, the notice should include full details and particulars of the business to be transacted at the Board Meetings. The articles of association of the company may make it mandatory to do so in almost all cases.

Question 8 (C2) (7M) (Dec 2025 PQ)

The Board Meeting of Victoria Vibes Ltd., an unlisted public company having its Registered Office at Chennai, was convened at 8:00 p.m. on Sunday, 5th January 2025, at Taj Palace, Mumbai.

The total strength of the Board was 14 directors, of which 2 positions were vacant.

As per the provisions of the Companies Act, 2013, answer the following:

(i) Examine the validity of the venue, date, and time of the Board Meeting.

(ii) How should the notice of the meeting be circulated to a director who is currently in London?

(iii) During the meeting, 7 directors attended - 3 in person (at Mumbai), 2 from Bhopal, and 2 from London through video conferencing. However, 5 minutes after commencement, the internet connection of the 3 directors attending through video conferencing got disrupted, and they could not participate further. The Chairman proceeded with the agenda and declared that all resolutions were duly passed, since the agenda papers and draft resolutions had been circulated in advance.

In addition, referring to the relevant provisions of the Companies Act, 2013 and Companies (Meetings of Board and its Powers) Rules, 2014, decide the validity of the place of meeting and the resolutions passed.

Answer

(i) As per the provisions of Section 173 of the Companies Act, 2013:

A Board Meeting may be held

- at any place in India or outside India,
- on any day, and
- at any time,
- except on a National Holiday.

Therefore:

Holding the meeting at Taj Palace, Mumbai, on Sunday, 5th January 2025, at 8:00 p.m., is valid and permissible, since Sunday is not a National Holiday under the Act.

(ii) As per Section 173(3) and Rule 3 of the Companies (Meetings of Board and its Powers) Rules, 2014:

- Notice in writing of every Board Meeting shall be given to every director at his registered address, whether in India or outside India.
- Such notice may be sent by hand delivery, post, or electronic means (e.g., e-mail).

Therefore, notice to the director present in London can validly be sent by electronic means (e-mail) to his registered e-mail ID, or by post to his registered address abroad.

(iii) As per Section 174(1) of the Companies Act, 2013,

The quorum for a meeting of the Board of Directors shall be one-third of its total strength, or two directors, whichever is higher.

Here, the total strength of the Board = 12 (Directors currently holding office Excludes Vacancies)

Hence, quorum = 12 ÷ 3 = 4 → 4 directors

At the commencement of the meeting, 7 directors were present — quorum was validly constituted.

Effect of Directors Losing Video Connectivity - A director participating through video conferencing shall be counted for the purpose of quorum, unless he is disconnected, in which case, he shall be considered as not participating from the time of disconnection.

Thus, once the three directors from London lost their internet connection and ceased to participate, the effective number of participating directors fell from 7 to 4, which is equal to the quorum (4).

The resolution is passed and valid as the number of directors present meets the quorum requirements of Section 174(1) of the Companies Act, 2013.

Question 9 (C2 & C3) (7M) (Dec 2023 PQ)

The Board of Directors of PQR Limited met thrice in the year 2022 and 4th meeting though called but could not be held for want of quorum. Examine with reference to the relevant provisions of the Companies Act, 2013, whether any provision of the Act has been contravened.

Answer

According to Section 173(1), Every company shall hold the first meeting of the Board of Directors within 30 days of the date of its Incorporation and subsequently minimum of 4 meetings shall be held every year provided that the gap between two consecutive board meetings shall not be more than 120 days.

As per section 174(4) of the Act, if a meeting of the Board could not be held for want of quorum then, unless the articles otherwise provide the meeting shall automatically stand adjourned till the same day in the next week, at the same time and place, or if that day is a National Holiday till the next succeeding day which is not a national holiday, at the same time and place.

If there is no Quorum at the adjourned Meeting also, the Meeting shall stand cancelled. An adjourned Meeting being a continuation of the original Meeting, the gap in such a case, shall be counted from the date of the original Meeting.

In this case, the Board meeting of PQR limited was held 3 times and for the 4th time the meeting was called but could not be held for want of quorum.

Hence, as per the provisions of the Companies Act, 2013 the Company (PQR) has violated the provisions with respect to convening the Board Meetings. But if the 4th Board meeting was adjourned due to want of quorum and the adjourned meeting was duly held within the stipulated time, then the company has not contravened the provisions of the Act.

Question 10 (C3) (7M) (June 2024 PQ) (MQP Dec 2024 Set 2)

What is the quorum of Company's Board Meeting in the following cases (explain as per the provisions of the Companies Act, 2013)?

(i) A public company has 10 directors (including 4 non-executive directors). But 8 directors (including 4 non-executive directors) attended the BOD meeting.

(ii) Start-up Odisha Ltd. is a section 8 company which has 8 non-executive directors. 3 directors attended the meeting.

(iii) BOD of X Ltd. consists of 9 executive directors and 3 non-executive directors. Total 6 executive directors and 3 non-executive directors attended the BOD meeting. A business was transacted in which one director was interested. Articles of Association has fixed the quorum as 5.

Answer

(i) According to Section 174 of the Companies Act, 2013 the quorum for a Board Meeting shall be one-third of its total strength or two directors, whichever is higher. Here the strength is 10. 1/3rd of total strength is 3.33 or 4. So the quorum is 4. (Any fraction rounded as one)

(ii) The companies covered under section 8 of the Act shall constitute quorum for the Board meeting, either 8 members or 25% of its total strength whichever is less. Provided that quorum shall not be less than 2 members. As Start-up Odisha Ltd. is a section 8 company, the quorum will be decided as per above. Here 25% of total directors is 2. Hence the quorum is 2.

(iii) The Act prohibits an interested director from participating in the discussion of or voting on, any contract or arrangement entered into, or to be entered into, by or on behalf of the company in which his presence shall not be counted for the purpose of forming a quorum at the time of any such discussion or vote and if he does vote, his vote shall be void.

There is requirement of 12/3 i.e., 4 directors to be quorum, However, now 8 directors are present (excluding the interested director). Hence quorum is available for a valid BOD meeting of X Ltd.

Question 10 (C3) (7M) (June 2025 PQ) (MQP Dec 2025 Set 1)

What is the required quorum for holding a Board meeting, as per the provisions of the Companies Act, 2013? Examine the following cases in this context:

(i) In a Board meeting, only 3 directors were present out of the total of 11 directors. None of the 3 directors was interested in any of the items of the agenda. Examine the validity of meeting.

(ii) In a meeting of the Board, out of the total of 11 directors, 5 directors were present, of which only 2 directors were not interested in one of the transactions. How should the meeting deal with the matter?

Answer

According to Section 174 of the Companies Act, 2013 the quorum for a Board Meeting shall be one-third of its total strength (any fraction contained in that 1/3rd shall be rounded off to one) or two directors, whichever is higher.

However, section 174(3) states that where at any time the number of interested directors (present in the Board meeting) exceeds or is equal to 2/3rd of the 'total strength' (any fraction contained in that 2/3rd shall be rounded off as one), the number of non-interested directors present at the meeting, being not less than two, shall be the quorum.

(i) In the instant case, 1/3rd of 11 comes to 3.67 ~ 4 - the fraction 0.67 shall be rounded off to 1. Thus, at least 4 non-interested directors must be present in the Board meeting. However, only 3 directors are present in the Board meeting.

Moreover, there is no interested director present in the meeting and so, the benefit of section 174(3) cannot be availed.

Hence, the quorum was not present and so the meeting has not been validly held.

(ii) In the given case, the required quorum comes to 4 directors, 5 were present, so the basic requirement is fulfilled. During one of the transactions, only 2 directors were not interested. The requirement of section 174(3) is met with. The quorum requirement is thus fulfilled.

Question 11 (C3 & C4) (ICAI SM)

(i) What is the procedure to be followed, when a board meeting is adjourned for want of quorum?

(ii) How is a resolution by circulation passed by the Board or its Committee?

Answer

(i) As per section 174(4) of the Act, if a meeting of the Board could not be held for want of quorum then, unless the articles otherwise provide the meeting shall automatically stand adjourned till the same day in the next week, at the same time and place, or if that day is a National Holiday till the next succeeding day which is not a national holiday, at the same time and place. If there is no Quorum at the adjourned Meeting also, the Meeting shall stand cancelled.

(ii) Board's approvals can be taken in two ways - one, by a resolution passed at a Board Meeting and the other, by means of a resolution passed by circulation.

As per Section 175(1) of the Companies Act, 2013, no resolution shall be deemed to have been duly passed by the Board or by a committee thereof by circulation, unless the following provisions have been complied with:

a) the resolution has been circulated in draft, together with the necessary papers, if any,
b) the draft resolution has been circulated to all directors, or members of the committee.
c) the Draft resolution has been sent at their addresses registered in India.
d) such delivery has been made by hand or by post or by courier, or through electronic means.
e) such resolution has been approved by a majority of the directors or members, who are entitled to vote on the resolution.

However, if at least 1/3rd of the total number of directors of the company for the time being require that any resolution under circulation must be decided at a meeting, the Chairperson shall put the resolution to be decided at a meeting of the Board (instead of being decided by circulation).

A resolution that has been passed by circulation shall have to be necessarily noted in the next meeting of Board or the Committee and made part of the minutes of such meeting.

Question 12 (C5) (SM) (7M) (MQP June 2025)

Kapoor and Sons Ltd is a listed company with Mr. S K Kapoor as CMD and main stakeholder. Board comprises of the following.

(a) Mr. S K Kapoor, as CMD

(b) Mr. K Murli, Director (Finance)
(c) Mr. B B Singh, Director (Commercial)
(d) Mr. K Shekhar, ind. Dir. Appointed in AGM in Sept, 2020
(e) Mr. B. Ramesh, Ind. Dir., appointed in AGM is August, 2019
(f) Mr. Mahesh Singh, nominee of IDBI
(g) Smt. Rekha Singh, ind. Director, appointed in AGM in Sept 2019
(h) Ms. Rukmini Mathur, non-executive, non-independent, appointed as additional director in March 22.
With the above directors, please suggest constitution of CSR committee, Audit Committee and Nomination and Remuneration committee as per the Act and Rules.

Answer

Suggestion regarding constitution of CSR committee, Audit Committee and Nomination and Remuneration committee as per the Companies Act, 2013 and rules.
CSR committee:
In case of CSR committee, there will be at least 3 directors in the committee with at least 1 independent director. CSR committee shall be as follows.
(i) Mr. B Ramesh, as chairman
(ii) Ms. Rekha Singh, Independent Director, member
(iii) Mr. K Murli, Director (Finance), member
Since the company has adequate number of independent directors, we can have two instead of one. Since financial issues are involved, Director (Finance) is made member.
Audit committee:
The Audit Committee shall consist of a minimum of 3 directors with independent directors forming a majority.
(i) Mr K Shekhar, Independent Director as chairperson
(ii) Mr. Mahesh Singh, nominee of IDBI
(iii) Ms. Rekha Singh, Independent Director
As per rule, there has to be 3 directors, the chairman to be independent and majority shall be independent. This has been complied here.
Nomination and Remuneration committee:
The Nomination and Remuneration Committee shall be constituted with three or more non-executive directors out of which not less than one-half shall be independent directors:
(i) Ms. Rekha Singh, Independent Director chairperson
(ii) Mr. B Ramesh, Independent Director, member
(iii) Ms. Rukmini Mathur, Independent Director, member
All members need to be non-executive and /or independent.

Question 13 (C5) (4M) (Dec 2018 Old PQ) (3M) (Dec 2023 Old PQ) (ICAI SM)

An Audit Committee of a listed company constituted under Section 177 of the Companies Act, 2013, submitted its report containing the recommendations in respect of certain matters to the Board.

The Board, however, did not accept the recommendations. In the light of the situation, analyse whether:

a) The Board is empowered not to accept the recommendations of the Audit Committee.

b) If so, what alternative course of action, would the Board resort to?

Answer

a) According to Section 177(8) of the Companies Act, 2013, the Board's Report shall, under the provisions of Section 134 which is laid before the general meeting, disclose the composition of the Audit Committee and where the Board has not accepted any recommendations of the Audit Committee, the same shall also be disclosed along with the reasons. Hence, the Board is empowered not to accept the recommendations of the Audit Committee but only under genuine circumstances and supported by legitimate reasons for non-acceptance.

b) If the Board does not accept the recommendations of the Audit Committee, it shall disclose the same in its report under section 134 (3) which is placed before the general meeting of the company.

Question 14 (C5) (ICAI SM)

MNC Ltd., a company, whose paid up capital was ₹ 8.00 crore, has issued right shares in the ratio of 1:1. The said company is listed with Mumbai Stock Exchange. Whether the company is required to appoint any Audit Committee?

Answer

According to Section 177(1) of the Companies Act, 2013, the Board of Directors of every listed public company and such other class or classes of companies, as may be prescribed, shall constitute an Audit Committee. Therefore, MNC Ltd. being a listed company will be bound to constitute an Audit Committee under the Act. Further under section 177(2) the Audit Committee shall consist of a minimum of three directors with independent directors forming a majority. Further, majority of the members of Audit Committee including its Chairperson shall be persons with ability to read and understand the financial statement.

Question 15 (C5) (4M) (Dec 2017 Old PQ)

What is the role of the Audit Committee vis-a-vis the statutory auditor when the company wishes to engage them to perform certain engagements not restricted under Section 144?

Answer

Auditor can render any non-audit services which are not restricted under section 144 if the Audit committee or the board of directors call up the auditor to perform such services or activities.

According to section 177(5) of the Companies Act, 2013, the Audit Committee is empowered to;

(i) call for the comments of the auditors about:
   a) internal control systems,
   b) the scope of audit, including the observations of the auditors,
   c) review of financial statement before their submission to the Board,

(ii) discuss any related issues with the internal and statutory auditors and the management of the company.

Audit committee should review the annual financial statements and submit the same to the Board with its recommendations, if any.

Question 16 (C8) (7M) (June 2025 PQ)

State the responsibilities of an Audit committee constituted in a company. Is any recommendation of such committee binding on the Board of Directors of the company?

Answer

Every Audit Committee shall act in accordance with the terms of reference specified in writing by the Board which shall, inter alia, include:

1) the recommendation for appointment, remuneration and terms of appointment of auditors of the company.
   Note: In case of Government companies, in this clause, for the word 'recommendation for appointment, remuneration and of appointment' the words 'recommendation for remuneration' shall be substituted, as in case of Govt. company, appointment is made by the C&AG.
2) review and monitor the auditor 's independence and performance, and effectiveness of audit process.
3) examination of the financial statement and the auditors' report thereon.
4) approval or any subsequent modification of transactions of the company with related parties.
5) The Audit Committee may make omnibus approval for related party transactions proposed to be entered by the company subject to such conditions as may be prescribed.
6) scrutiny of inter-corporate loans and investments.
7) valuation of undertakings or assets of the company, wherever it is necessary.
8) evaluation of internal financial controls and risk management systems.
9) monitoring the end use of funds raised through public offers and related matters.

Binding nature of recommendation of Audit Committee like any other committee, shall be recommendatory in nature. However, if the Board had not accepted any recommendation, the reasons for the same shall be recorded in the Board's Report.

If the company is a listed company, SEBI (LODR) Regulations require the company to disclose the reasons for not accepting, in the corporate governance section of the Annual Report or to the Stock Exchange.

Question 17 (C5) (4M) (June 2019 Old PQ)

M/s Daga Limited (an unlisted company) without any public deposits as per the audited financial statements of the company as at March 31st, 2018 gives you the following information:

Paid-up share capital	₹ 20 crores
Gross Turnover	₹ 500 crores
Bank borrowings	₹ 50 crores (from a National Bank)
Other borrowings	₹ 30 crores (from a Public Financial Institution)

Mr. Lodha, a Chartered Accountant employed in the finance and audit department of the company wants to form a Vigil Mechanism for directors and employees of the company. Advise whether it is

mandatory for M/s Daga Limited to formulate a Vigil Mechanism for directors and employees of the company.

Answer

According to Section 177(9) of the Companies Act, 2013, a Vigil mechanism shall be formed in:

a) Every listed Company, and

b) Such other prescribed classes of companies.

Rule 7 of the Companies (Meetings of Board and its Powers) Rules, 2014 has prescribed the following class or classes of companies that shall constitute Vigil mechanism:

a) The Companies which accept deposits from the public;

b) The Companies which have borrowed money from banks and public financial institutions in excess of ₹ 50 crores.

In the instant case, Daga Ltd. does not have any public deposits. They have borrowings from banks and public financial institutions of ₹ 80 Crores which is in excess of ₹ 50 crores. Since, the Company had borrowed from banks and Public Financial Institutions in excess of ₹ 50 crores, the Company is mandatorily required to form a Vigil Mechanism for directors and employees of the Company.

Question 18 (C6) (ICAI SM) (7M) (MQP Dec 2024 Set 1)

Out of the powers exercisable by the Board under Section 179 of the Companies Act, 2013, the Board of MN Limited wants to delegate the power to borrow monies otherwise than on debentures to the Managing Director. Advise whether such a delegation is possible? Would your answer be different, if the delegation is made to the manager or any other principal officer including a branch officer of the company?

(or)

Describe the Powers of the Board to be exercised by the Board by means of the resolution passed at a duly convened Board meeting.

Answer

According to section 179(3) of the Companies Act, 2013, the Board of Directors of a company shall exercise the following powers on behalf of the company by means of resolutions passed at meetings of the Board:

a) To make calls on shareholders in respect of money unpaid on their shares.

b) To authorise buy-back of securities under section 68.

c) To issue securities, including debentures, whether in or outside India.

d) To borrow monies.

e) To invest the funds of the company.

f) To grant loans or give guarantee or provide security in respect of loans.

g) To approve financial statement and the Board's report.

h) To diversify the business of the company.

i) To approve amalgamation, merger, or reconstruction.

j) To take over a company or acquire a controlling or substantial stake in another company;

k) Any other matter which may be prescribed.

Provided that the Board may, by a resolution passed at a meeting, delegate to any Committee

of Directors, the Managing Director, the manager or any other principal officer of the company or in the case of a branch office of the company, the principal officer of the branch office, the powers specified in clauses d) to f) on such conditions as it may specify.

From the above provisions, it is clear that the Board of MN Limited shall be perfectly in order if it delegates the power to borrow monies under d) to the Managing Director or to the manager or any other principal officer.

Question 19 (C6 & C7) (6M) (Dec 2019 Old PQ)

One of the Objects Clauses of the Memorandum of Association of Info Company Limited conferred upon the company, power to sell its undertaking to another company with identical objects. Company's Articles also conferred upon the directors powers to sell or otherwise deal with the property of the company. At an Extraordinary General Meeting of the company, members passed an ordinary resolution for the sale of its assets on certain terms and authorized the directors to carry out the sale. Directors refused to comply with the wishes of the members where upon it was contended on behalf of the members that they were the principals and directors being their agents, were bound to give effect to their (members') decisions.

Examining the provisions of the Companies Act, 2013, answer the following:

(i) Whether the contention of members against the non-compliance of members' decision by the directors is tenable.

(ii) Whether it is possible for the members to use the powers, which by the Articles are vested in the directors by passing a resolution in the general meeting.

Answer

(i) In accordance with the provisions of the Companies Act, 2013, as contained under Section 179(1), the Board of Directors of a Company shall be entitled to exercise all such powers and to do all such acts and things, as the Company is authorized to exercise and do.

Provided that the Board shall be subject to the provisions contained in this Act, or in the memorandum or articles, including regulations made by the Company in general meeting.

Section 180 (1) of the Companies Act, 2013, provides that the powers of the Board of Directors of a Company which can be exercised only with the consent of the Company by a special resolution. Clause (a) of Section 180 (1) defines one such power as - the power to sell, lease or dispose of the whole or substantially the whole of the undertaking of the company or where the Company owns more than one undertaking of the whole or substantially the whole or any of such undertakings.

Therefore, the sale of the undertaking of a Company can be made by the Board of Directors only with the consent of members of the Company accorded with a special resolution.

Even if the power is given to the Board by the memorandum and articles of the Company, the sale of undertaking must be approved by the shareholders in general meeting by passing a special resolution.

Therefore, the correct procedure to be followed is for the Board to approve the sale of the undertaking clearly specifying the terms of such sale and then convene a general meeting of members to have the proposal approved by a special resolution.

In the given case, the procedure followed is completely incorrect and violative of the provisions of the Act. The shareholders cannot on their own make out a proposal of sale and pass an ordinary resolution to implement it through the directors.

(ii) Accordingly, the contention of the members that they were, the principals and directors being their agents were bound to give effect to the decisions of the members is not correct.

The members therefore, cannot by a resolution passed by a majority or even unanimously supersede the powers of the directors or instruct them how they shall exercise their powers. The shareholders have, however, the power to alter the Articles of Association of the Company in the manner they like subject to the provisions of the Companies Act, 2013.

Question 20 (C7) (ICAI SM)

Following data relates to Prince Company Limited:

Authorised Capital (Equity Shares)	₹ 100 crores
Paid – up Share Capital	₹ 40 crores
General Reserves	₹ 20 crore
Debenture Redemption Reserve	₹ 10 crore
Provision for Taxation	₹ 5 crore
Securities premium	₹ 2 crore
Loan (Long Term)	₹ 10 crore
Short Term Creditors	₹ 3 crore

Board of Directors of the company by a resolution passed at its meeting decided to borrow an additional sum of ₹ 90 crore from the company's Bankers. Being the company's financial advisor, you are required to advise the Board of Directors regarding the procedure to be followed in this respect under the Companies Act, 2013.

Answer

As per Section 180 of the Companies Act, 2013, the Board of Directors of a company, without obtaining the approval of shareholders in a general meeting through a special resolution, can borrow the funds including funds already borrowed up to an amount which does not exceed the aggregate of the paid-up share capital, free reserves and securities premium. Such borrowing shall not include temporary loans obtained from the company's bankers in ordinary course of business. Free reserves do not include the reserves set apart for specific purpose.

According to the above provisions, the Board of Directors of Prince Company Limited can borrow, without obtaining approval of the shareholders in a general meeting, up to an amount calculated as follows:

Particulars	Amount (₹)
Paid up Share Capital	40 Crores
General Reserve (being free reserve)	20 Crores
Debenture Redemption Reserve (This reserve is not to be considered	

since it is kept apart for specific purpose of debenture redemption)	
Securities Premium	2 Crores
Aggregate of paid-up share capital, free reserve and securities premium	62 Crores
Total borrowing power of the BOD of the company, i.e, 100% of the aggregate of paid-up share capital, free reserves and securities premium.	62 Crores
(Less: Amount already borrowed as long term loan)	(10 Crores)
Amount up to which the Board of Directors can further borrow without the approval of shareholders in a general meeting.	52 Crore

The company can borrow up to ₹ 52 crores without any approval, as it is within the borrowing limit. However, to borrow the additional ₹ 90 crores, which exceeds the limit, the company must pass a special resolution as per Section 180 of the Companies Act, 2013.

Question 21 (C7) (4M) (Dec 2017 Old PQ)

The Board of Directors of Stepping Stones Publications Ltd. at a meeting held on 15.01.2014 resolved to borrow a sum of ₹ 15 crores from a nationalized bank. Subsequently the said amount was received by the company. One of the Directors, who opposed the said borrowing as not in the interest of the company has raised an issue that the said borrowing is outside the powers of the Board of Directors. The Company seeks your advice and the following data is given for your information:

(i) Share Capital ₹ 5 crores
(ii) Reserves and Surplus ₹ 5 crores
(iii) Secured Loans ₹ 15 crores
(iv) Unsecured Loans ₹ 5 crores

Advise the management of the company.

Answer

According to the provisions of Section 180 of the Companies Act, 2013, there are restrictions on the borrowing powers to be exercised by the Board of directors. According to the said section, the borrowings should not exceed the aggregate of the paid up capital, free reserves and securities premium. While calculating the limit, the temporary loans obtained by the company from its bankers in the ordinary course of business will be excluded.

However, from the figures available in the present case the proposed borrowing of ₹ 15 crores will exceed the limit mentioned. Thus, the borrowing will be beyond the powers of the Board of directors.

Thus, the management of Stepping Stone Publications Ltd., should take steps to convene the general meeting and pass a special resolution by the members in the meeting as stated in Section 180 of the Companies Act, 2013. Then the borrowing will be valid and binding on the company and its members.

Question 22 (C7) (7M) (Dec 2023 PQ)

Section 180 of the Companies Act, 2013 provides certain restrictions on powers of Board of Directors. List out those restrictions.

Answer

According to Section 180(1) of the Companies Act, 2013, The Board of Directors of a company shall exercise the following powers only with the consent of the company by a special resolution, namely:

a) To sell, lease or dispose of the whole or substantially the whole of the undertaking of the company or where the company owns more than one undertaking, of the whole or substantially the whole of any of such undertakings.
   (i) substantially the whole of the undertaking shall mean 20% or more of the value of the undertaking as per balance sheet of the preceding financial year.
   (ii) Here, 'Undertaking' means a unit of business in which the investment of the company exceeds 20% of its net worth of the preceding financial year or an undertaking which generates 20% of the total income of the company during the previous financial year.
b) To invest otherwise in trust securities the amount of compensation received by it as a result of any merger or amalgamation.
c) To borrow money, where the money to be borrowed, together with the money already borrowed, will exceed the aggregate of its paid-up share capital and free reserves and securities premium, apart from temporary loans obtained from the company's bankers in the ordinary course of business.
d) To remit, or give time for the repayment of, any debt due from a director.

Every Special Resolution is required to be filed in Form No. MGT -14 as per Section 117.

Question 23 (C8) (4M) (June 2023 Old PQ)

Amar Cement Limited is a company incorporated four years ago. It has earned amounting to ₹ 5 lakh, ₹ 8 lakh and ₹ 11 lakh respectively during the last three financial years. The Board of Directors of the company propose to donate a sum of & 50,000 to a political party. Examine with reference to the provisions of the Companies Act, 2013 whether the proposed donation is within the powers of the Board of Directors of the company.

Answer

As per section 182 of the Companies Act, 2013 a company shall not make a political contribution unless the following conditions satisfied:

1) The company is not a government company.
2) The company has been in existence for 3 or more financial years.
3) The Board shall make a political contribution only by passing a resolution at a Board meeting.
4) The company shall disclose in its profit and loss account the amount of political contribution and the name of political party or person to whom such amount has been contributed.

5) The amount of political contribution that can be made in any financial year cannot exceed 7.5% of the average net profit of the preceding three financial years.
6) Such contribution shall be made through a resolution passed at a meeting of the Board of Directors.

Applying the provisions of section 182 of Companies Act 2013 to the given case, Amar Cement Limited is not prohibited from making political contribution since it has been in existence for more than 3 financial years.

For the purpose of calculation of the amount of Political Contribution,

Average net profit of the preceding 3 financial years = (₹ 5 lakh + ₹ 8 lakh + ₹ 11 lakh)/3 = ₹ 8 lakhs

Maximum amount of Political Contribution that can be made = 7.5% of ₹ 8 lakhs = ₹ 60,000

Accordingly, the proposal of the Board of directors to make a donation of Rs. 50,000 to a political party is valid. Such political contribution shall be made by passing a resolution at a Board meeting only.

Question 24 (C9 & C10) **(5M) (Dec 2019 Old PQ)**

Runway Infrastructure Limited entered into a contract with Royal forgings (a partnership firm), in which wife of Mr. Patrick, a director of the Runway Infrastructure Limited is a partner. The contract is for supply of certain components by the firm for a period of three years with effect from 1st September 2018 on credit basis. Explain the requirements under the Companies Act, 2013, which should have been complied with by Runway Infrastructure Limited before entering into contract with Royal forgings.

What would be your answer in case Royal forgings is a private limited company in which wife of Mr. Patrick is holding shares?

Answer

The contract for supply of components entered into between Runway Infrastructure - Limited and Royal forgings, a partnership firm (in which wife of Mr. Patrick, a director of the company is a partner) attracts Section 184 and 188 of the Companies Act 2013.

As per Section 188, company cannot enter into contract with firm for supply or purchase of goods or material where director of company or his relative is partner of firm without approval of Board of directors at board meeting.

As per Section 184, interested directors must disclose his interest at board meeting at which said business is to be discussed. Interested directors should not take part in the discussion or voting at board meeting. If he does vote, his vote shall not be counted.

Based upon discussion of the above provisions:

If the value of the contract or transaction is exceeded than limit specified, prior approval of shareholders is required to be obtained. Question does not suggest value of transaction. Assuming that it is within limits specified under the Act consent of shareholders is not required.

The provision of Section 188 are applicable to it As the directors wife (i.e. Patrick's wife) is member of Royal forgings private limited.

Section 184 is not applicable as Mr. Patrick, director of runway Infrastructure Limited is neither director nor holding any shares in Royal Forgings Private Limited. Shares held by Mr. Patrick's wife are not to be considered. Hence the provisions of Section 184 are not attracted.

Question 25 (C10) (7M) (Dec 2023 PQ)

All related party transactions shall require approval of the Audit Committee and the Audit Committee may make omnibus approval for related party transactions proposed to be entered into by the company subject to certain conditions. Elucidate those conditions to omnibus approval for related party transactions.

Answer

All related party transactions shall require approval of the Audit Committee and the Audit Committee may make omnibus approval for related party transactions proposed to be entered into by the company.

The Audit Committee shall, after obtaining approval of the Board of Directors, specify the criteria for making the omnibus approval which shall include the following, namely:

a) maximum value of the transactions, in aggregate
b) the maximum value per transaction.
c) extent and manner of disclosures to be made to the Audit Committee.
d) review, at such intervals as the Audit Committee may deem fit.
e) transactions which cannot be subject to the omnibus approval by the Audit Committee.

The Audit Committee shall satisfy itself on the need for omnibus approval for transactions of repetitive nature and that such approval is in the interest of the company.

The omnibus approval shall contain or indicate the following:

a) name of the related parties.
b) nature and duration of the transaction.
c) maximum amount of transaction that can be entered into.
d) the indicative base price or current contracted price and the formula for variation in the price, if any, and
e) any other information relevant or important for the Audit Committee to take a decision on the proposed transaction:

Provided that where the need for related party transaction cannot be foreseen and aforesaid details are not available, audit committee may make omnibus approval for such transactions subject to their value not exceeding ₹ 1 crore per transaction.

Omnibus approval shall be valid for a period not exceeding 1 financial year and shall require fresh approval after the expiry of such financial year

Question 26 (C7) (7M) (June 2025 PQ)

Under the Companies Act, 2013, discuss the obligations in respect of maintenance of registers and records by the companies incorporated in India. Enumerate any ten such registers to be kept and maintained by such companies.

Answer

Every company has to maintain at its registered office certain registers and records for statutory, statistical, disclosure, information management and MIS purposes. Further, the company is also required to keep these records within the vicinity of the place prescribed for it by the laws.

Every company incorporated under the Act is required to keep at its registered office, inter alia, the following statutory books and registers:

1) Register of investments in securities not held in company's name in Form MBP-3.
2) Register of deposits.
3) Register of securities bought back in Form SH-10.
4) Register of charges in Form CHG-7.
5) Register and index of members in Form MGT-1.
6) Register and index of debenture holders in Form MGT-2.
7) Register and index of beneficial owners.
8) Foreign register of members and debenture holders and their duplicates in Form MGT-3.
9) Copies of Annual Return.
10) Books containing minutes of general meeting and of Board and of committees of Directors.
11) Register of Postal Ballot.

Additional Questions

Question 1 (OS) (7M) (Dec 2023 PQ) (MQP Dec 2024 Set 2)

How far the acts of the director will be invalid if his appointment is not valid?

Answer

Section 176 of the Companies Act, 2013, seeks to give protection to the company and third parties where certain acts are done by a director in good faith and without notice that these are done wrongly or illegally. Thus, section 176 validates the bona fide acts of de facto directors.

These provisions may be explained as follows:

1. Acts of a director – Validated

No act done by a person as a director shall be deemed to be invalid, notwithstanding that it was subsequently noticed that -

a) his appointment was invalid by reason of any defect or disqualification; or
b) his appointment was terminated by virtue of any provision contained in the Act or in the Articles of the company.

2. Acts of managing director - Not validated

Acts done by a director in his capacity as managing director are not validated under section 176. Accordingly, where a managing director ceased to hold his office, all his subsequent acts were held to be invalid. It was not an irregular exercise of power, but exercise of power by a person who had no authority at all.

3. Acts of a director - Not validated in certain cases

In the following cases, the acts of a director shall not be valid:

a) where his appointment is illegal or there is no appointment at all.
b) If an appointment has been shown to the company as invalid or terminated, where such defect comes into the knowledge of the company, all subsequent acts done by such a director shall be invalid.
c) Where the acts of a director are ultra vires the Companies Act, 2013.

Question 2 (C2) (ICAI SM)

A director goes abroad for a period of more than 3 months and an alternate director has been appointed in his place under Section 161(2). During the period of absence of the original director, a board meeting was called. In this connection, with reference to the provisions of the Companies Act, 2013, advise who should be given the notice of Board meeting i.e. the "original director" or the "alternate director"?

Answer

According to Section 161(2) of the Companies Act, 2013, the Board of Directors of a company may, if so authorised by its articles or by a resolution passed by the company in general meeting, appoint a person, not being a person holding any alternate directorship for any other director in the company or holding directorship in the same company, to act as an alternate director for a director during his absence for a period of not less than three months from India.

According to Section 173(3), a meeting of the Board may be called by giving at least 7 days notice in writing to every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means.

There is no provision as to whether the notice of the meeting is to be sent to the original director or the alternate director. But as a matter of caution such notice may be served to both the alternate director as well as the original director who is for the time being outside India.

Question 3 (C2) (7M) (MQP Dec 2025 Set 1)

Describe the procedural requirements and conditions for issuing a notice of Board Meeting under Section 173(3) of the Companies Act, 2013.

Answer

Section 173(3) of the Companies Act, 2013 provides that –

1) every board meeting shall be called by giving at least 7 days' notice in writing to all the directors at their registered address (whether in India or outside India).
2) The notice may be sent by hand delivery or by post or by electronic means.
3) Meeting of the Board of Directors may be called on a shorter notice (than 7 days) in order to transact an urgent business, subject to the condition that at least one independent director, if any, shall be present at the meeting.
4) If no independent director is present, then the decisions taken at such a meeting shall be circulated to all the directors and shall be final only on ratification thereof by at least one independent director, if any.
5) The fact that meeting is being called at shorter notice, shall be stated in the notice.

The Companies (Meetings of Board and its Powers) Rules, 2014 further provides that

1) The notice of the meeting shall inform the directors regarding the option available to them to participate through video conferencing mode or other audio visual means, and shall provide all the necessary information to enable the directors to participate through video conferencing mode or other audio visual means.
2) On receiving such a notice, a director intending to participate through video conferencing or audio-visual means shall communicate his intention to the chairperson or the company secretary of the company.
3) He shall give prior intimation to that effect sufficiently in advance so that the company is able to make suitable arrangements in this behalf.
4) If the director does not give any intimation of his intention to participate that he wants to participate through the electronic mode, it shall be assumed that the director shall attend the meeting in person.
5) The director, who desires, to participate may intimate his intention of participation through the electronic mode at the beginning of the calendar year and such declaration shall be valid for one calendar year. In the absence of any such intimation from the director, it shall be assumed that he will attend the meeting in person.
6) Notice of the meeting, wherein the facility of participation through Electronic mode is provided, shall clearly mention a venue to be the venue of the meeting and it shall be the place where all the recordings of the proceedings at the meeting would be made.
7) Otherwise, it shall be assumed that the director shall attend the meeting in person.

The SS-1 (Secretarial Standards on the Meeting of Board) provides that:

1) Where director specifies a particular means of delivery of notice, notice shall be given to him by such means only.
2) Notice shall be issued by the Company Secretary or where there is no Company Secretary, by any director or any other person authorized by the Board for the purpose.
3) The notice shall specify the serial number, day, date, time and full address of the venue of the meeting.
4) In case the facility of participation through Electronic Mode is being made available, the notice shall provide the available option of such facility, information to avail such facility, and contact number or e-mail address of the Chairman or Company Secretary or any other authorized person to whom director shall confirm as to whether they will participate through electronic mode in the meeting.
5) The Agenda, setting out the business to be transacted at the meeting, and Notes to agenda shall also be sent to all the directors along with Notice of the Board Meeting.
6) Each meeting and item of the business to be taken up in the meeting shall be serially numbered.
7) Proof of sending notice, agenda and notes on agenda and their delivery shall be maintained by the company.
8) Every Meeting shall have a serial number.
9) A meeting may be convened at any time and place, on any day, excluding a National Holiday.

Question 4 (C3) (7M) (MQP June 2025) (MQP Dec 2025 Set 2)

Analyse the provisions related to quorum for meetings of Board.

Answer

According to Section 174(1) of the Companies Act, 2013,

a) The quorum for a Board Meeting shall be 1/3rd of its total strength or 2 directors, whichever is higher.
b) The directors who participate by video conferencing or by other audio-visual means shall also be counted for the purpose of quorum.
c) In Case of Section 8 companies, quorum for the Board meeting, either 8 members or 25% of its total strength whichever is less. Provided that quorum shall not be less than 2 members.
d) Section 174 are not applicable to one-person company in which there is only one director.
e) For the purpose of calculating quorum, any fraction of a number shall be rounded off as one.
f) Total strength shall not include directors whose places are vacant. Quorum shall be present throughout the meeting.
g) In case of committee meetings, the presence of all members is necessary to form the quorum for the meetings of such committee unless otherwise stipulated.
h) If there is any Vacancy in the BOD, if the number is reduced below the quorum fixed by the Act, the continuing directors may meet for the purpose of increasing the number of directors to that fixed for the quorum, or summoning a general meeting of the company and for no other purpose.

Question 5 (7M) (MQP Dec 2024 Set 2) (7M) (MQP June 2024)

Describe the provision related to Minutes of the Meeting of the General Meeting/Board Meeting.

Answer

The minute in a literal sense means a note to preserve the memory of anything. The minutes of a meeting is a written record of the business transacted; decisions and resolutions arrived at the meeting.

Section 118 of the Companies Act, 2013 imposes a statutory obligation that,

a) Every company to prepare minutes of all proceedings of general meetings, board meetings and other meeting and resolution passed by postal ballot.
b) Every company shall prepare and sign in such manner as may be prescribed and keep within 30 days of the conclusion of every such meeting concerned in books kept for that purpose with their pages consecutively numbered.
c) The minutes of each meeting shall contain a fair and correct summary of the proceedings.
d) All appointments made at any of the meetings aforesaid shall be included in the minutes of the Meeting.
e) The names of the dissenting directors should be recorded.
f) The minutes are to be signed by the chairman of the meeting or the next meeting.
g) The minutes kept shall act as the evidence of the proceedings recorded therein and all recording shall be considered valid and authentic.

As per Section 118, every company shall observe Secretarial Standards with respect to general

and board meetings specified by the Institute of Company Secretaries of India. Accordingly, two Secretarial Standards viz. SS-1: Meetings of the Board of Directors and SS-2: General Meetings have been notified.

The books containing the minutes of the proceedings of any general meeting of a company or of a resolution passed by postal ballot, shall:

a) be kept at the registered office of the company in electronic form, and
b) be open, during business hours, to the inspection by any member without charge, subject to such reasonable restrictions as the company may, by its articles or in general meeting, impose, so, however, that not less than 2 hours in each business day are allowed for inspection. Any member shall be furnished within 7days of request, with fees, a copy of the minutes of general meeting.

Question 6 (C2 & C3) (7M) (MQP Dec 2023)

"A casual meeting of the directors, even at the office of the company, cannot be treated as a board meeting" – analyse the legal provisions relating to board meeting under the Companies Act 2013?

Answer

According to Section 173(1) of the Companies Act, 2013, after the incorporation of a company, the first meeting of the Board of Directors shall take place within 30 days. After the first meeting, a minimum of 4 meetings of the Board of Directors needs to be held in a year. The Section further states that the meeting is to be held in such a manner that there should not be a gap of more than 120 days between the two consecutive meetings of the Board.

Section 173(3) of the Act states that a meeting shall be called by a notice to every director in writing and the notice shall give a minimum of 7 days to the directors at their registered addresses as provided by them to the company.

Section 174(1) of the Act states that for a quorum for a meeting of a board of directors of a company hall, there shall be either one-third participation of directors or two, whichever is higher. In case of participation of directors via video conferencing or other audio-visual means, shall also be counted.

UNIT 7 – Key Managerial Personnel

Main Questions

Question 1 *(C1 & C2)* **(6M) (June 2018 Old PQ)**

There are four directors in Shine Paper Limited. Mr. Madhav, being the director in station, has been authorized to draw and endorse cheque or other negotiable instruments on account of the company and also to direct registration of transfer of shares and signing the share certificates etc. Evaluate whether he will be treated as Managing Director of the company. Also recommend the procedure of appointment of a Managing Director in a company in the light of the Companies Act, 2013.

Answer

According to Section 2(54) of the Companies Act, 2013, a "Managing Director" is a director who is entrusted with substantial powers of management of the affairs of the company by:

a) virtue of articles of a company, or
b) an agreement with the company, or
c) a resolution passed in its general meeting, or by its Board of Directors,

and includes a director occupying the position of the managing director, by whatever name called.

Substantial powers of the management shall not be deemed to include the power to do such administrative acts of a routine nature when so authorised by the Board such as:

(ii) the power to affix the common seal of the company to any document or
(iii) to draw and endorse any cheque on the account of the company in any bank or
(iv) to draw and endorse any negotiable instrument or
(v) to sign any certificate of share or
(vi) to direct registration of transfer of any share.

In the instant case, Mr. Madhav, a director in Shine Paper Limited has been, authorized to draw and endorse cheque or other negotiable instruments on account of the company and also to direct registration of transfer of shares and signing the share certificates etc.

Hence, according to explanation to section 2(54), Mr. Madhav will not be treated as managing director of the company as he is authorized to do administrative acts of a routine nature.

As per Section 196(4), procedure of appointment of a managing director:

(i) a managing director shall be appointed, and the terms and conditions of such appointment and remuneration payable be approved by the Board of Directors at a meeting.
(ii) The terms and conditions and remuneration approved by Board of Directors as above shall be subject to the approval of shareholders by a resolution at the next general meeting of the company.
(iii) In case such appointment is at variance to the conditions specified in the Schedule V of the Companies Act, 2013, the appointment shall be approved by the Central Government.

(iv) A return in the prescribed form (Form No. MR.1) along with the prescribed fee shall be filed with the Registrar within 60 days of such appointment.

Question 2 (C2) (4M) (Dec 2021 Old PQ)

Earth Developers Private Limited, a Bengaluru based company is regular in filing its annual return as well as financial statements and has four directors but so far, no managing director has been appointed. Due to the manifold increase in the construction work undertaken by the company in the last two years, it is urgently felt that a managing director needs to be appointed. Accordingly, Mr Pranav was appointed as MD by the Board of Directors at its meeting, specifying the terms and conditions including monthly remuneration, payable to him. Enumerate on the requirement and validity of an appointment of Mr. Pranav in the given scenario, in the context of relevant law.

Answer

According to Section 196(4) of the Companies Act, 2013, it requires that the terms and conditions of appointments of a Managing Director and the remuneration payable to him shall be approved by the Board of Directors at a meeting which shall be subject to approval by a resolution at the next general meeting of the company and by the Central Government in case such appointment is at variance to the conditions specified in Part I of the Schedule V. However, the above provisions shall not apply to private companies.

Therefore, there is no requirement regarding the approval of appointment of Mr. Pranav as MD in the Earth Developers Private Limited, at the immediate next general meeting of the shareholders. Therefore, his appointment as MD in the Earth Developers Private Limited is valid.

Question 3 (C2) (4M) (Dec 2017 Old PQ)

X was appointed as Managing Director for life by the Articles of Association of a private company incorporated on 1st June, 2014. Examine in this connection.

a) Can 'X' be appointed for life as Managing Director?
b) Is it possible for the company in general meeting to remove 'X' from his office of directorship during his lifetime?

Answer

a) As per Section 196(2) of the Companies Act, 2013, no company shall appoint or re-appoint any person as its managing director, whole-time director or manager for a term exceeding 5 years at a time. No concession or exception is allowed by the Act to private companies.
Hence, 'X' cannot be appointed as Managing Director for life in a private company.

b) As per Section 169(1) of the Companies Act, 2013, the company has the power to remove a director, by ordinary resolution before the expiry of his period of office after giving him an opportunity of being heard. This section applies to both public and private companies. It applies to all directors except a director appointed by the Tribunal under section 242 of the Act. The above provision applies to the Managing Director also as he is a director of the company and the member of its Board of Directors. Hence, it is possible for the company in general meeting to remove 'X' before the expiry of his term of office by an ordinary resolution.

Question 4 (C3) (8M) (June 2023 PQ) (ICAI SM)

International Technologies Limited, a listed company, being managed by a Managing Director proposes to pay the following managerial remuneration:

(i) Commission at the rate of five percent of the net profits to its Managing Director, Mr. Kamal.

(ii) The directors other than the Managing Director are proposed to be paid monthly remuneration of rupees 50,000 and also commission at the rate of one percent of net profits of the company subject to the condition that overall remuneration payable to ordinary directors including monthly remuneration payable to each of them shall not exceed two percent of the net profits of the company. The commission is to be distributed equally among all the directors.

(iii) The company also proposes to pay suitable additional remuneration to Mr. Bhatt, a director, for professional services rendered as software engineer, whenever such services are utilized.

You are required to examine with reference to the provisions of the Companies Act, 2013 the validity of the above proposals

Answer

International Technologies Limited, a listed company, being managed by a Managing Director proposes to pay the following managerial remuneration:

(i) Section 197(1) of the Companies Act, 2013, provides that except with the approval of the company in general meeting by a special resolution, the remuneration payable to any one managing director or whole time director or manager shall not exceed 5% of the net profits of the company and if there is more than one such director then remuneration shall not exceed 10% of the net profits to all such directors and manager taken together.

In the present case, since the International Technologies Limited is being managed by a Managing Director, the commission at the rate of 5% of the net profit to Mr. Kamal, the Managing Director is allowed and no approval of company in general meeting is required.

(ii) Section 197(1) of the Companies Act, 2013 provides that except with the approval of the company in general meeting by a special resolution, the remuneration payable to directors who are neither managing directors nor whole time directors shall not exceed-

- 1% of the net profits, if there is a managing or whole-time director or manager.
- 3% of the net profits in any other case.

In the present case, the maximum remuneration allowed to directors other than managing or whole-time director is 1% of the net profits of the company because the company is managed by a managing director. Hence, if the company wants to fix directors' remuneration at not more than 2% of the net profits of the company, the approval of the company in general meeting is required by passing a special resolution.

(iii) According to section 197(4) of the Companies Act, 2013, the remuneration payable to the directors of a company, including any managing or whole-time director or manager, shall be determined, in accordance with:

a) by the articles of the company, or
b) by a resolution or,
c) if the articles so require, by a special resolution, passed by the company in general meeting.

The remuneration payable to a director determined aforesaid shall be inclusive of the remuneration payable to him for the services rendered by him in any other capacity.

Any remuneration for services rendered by any such director in other capacity shall not be so included if—

(i) the services rendered are of a professional nature; and

(ii) in the opinion of the Nomination and Remuneration Committee, the director possesses the requisite qualification for the practice of the profession.

Hence, in the present case, the additional remuneration payable to Mr. Bhatt, a director, for professional services rendered by him as software engineer will not be included in the maximum managerial remuneration. Accordingly, such additional remuneration shall be allowed but opinion of Nomination and Remuneration Committee needs to be obtained.

Question 5 (C3) (4M) (Dec 2019 Old PQ)

The Articles of Association of a listed company provides for fixed payment of sitting fee for each meeting of Directors subject to maximum of ₹ 30,000. In view of the increased responsibilities of Independent Directors of listed Companies, the Company proposes to increase the sitting fee to ₹ 45,000 per meeting. Advise the company about the requirement under the Companies Act, 2013 to give effect to the proposal.

Answer

Section 197(5) of the Companies Act, 2013 provides that a director may receive remuneration by way of fee for attending the Board/Committee meetings or for any other purpose as may be decided by the Board, provided that the amount of such fees shall not exceed sum of ₹ 1 lakh per meeting of the Board or committee. Further, the Board may decide different sitting fee payable to independent and other directors. However, for Independent Directors and Women Directors, the sitting fee shall not be less than the sitting fee payable to other directors.

From the above, it is clear that sitting fees to independent directors can be increased from ₹ 30,000 to ₹ 45,000 per meeting by passing a resolution in the Board Meeting and altering the Articles of Association by passing Special Resolution.

Question 6 (C3 & C6) (4M) (Dec 2018 Old PQ)

(i) Mr. Balu is a CEO in a public company. State whether the limits on managerial remuneration under section 197 of the Companies Act, 2013 and schedule V apply to Mr. Balu.

(ii) Mr. X is a Whole Time Director (WTD) in a Super Ltd. He is also Whole Time Director (WTD) in its subsidiary company. Discuss the validity of Mr. X as WTD in its subsidiary company.

Answer

(i) Section 197 of the Companies Act, 2013 applies with regard to remuneration of directors including Managing Director, Whole Time Director and Manager. Schedule V provides conditions with regard to appointment and remuneration of Managing Director, Whole Time Director and Manager. Therefore, the provisions related to the managerial remuneration are not applicable on all KMPs i.e., to CEO, CFO or CS but they are applicable only to Managing Director, Whole Time Director and Manager.

So, Section 197 & Schedule V, shall not apply to Mr. Balu.

(ii) As per Section 203(2) of the Companies Act, 2013, every whole-time key managerial personnel of a company shall be appointed by means of a resolution of the Board containing the terms and conditions of the appointment including the remuneration.

As per Section 203(3) of the Companies Act, 2013, A whole-time key managerial personnel shall not hold office in more than one company at the same time except in its subsidiary company.

So accordingly, Mr. X can validly hold the position of Whole time Director in the subsidiary of Super Ltd.

Question 7 (C5) (ICAI SM)

Mr. Doubtful was appointed as Managing Director of Carefree Industries Ltd. for a period of five years with effect from 1.4.2016 on a salary of ₹ 12 lakhs per annum with other perquisites. The Board of Directors of the company came to know about certain questionable transactions entered into by Mr. Doubtful and therefore, terminated his services as Managing Director from 1.3.2019. Mr. Doubtful termed his removal as illegal and claimed compensation from the company.

Discuss whether: The company is bound to pay compensation to Mr. Doubtful and, if so, how much.

Answer

According to Section 202 of the Companies Act, 2013, compensation can be paid only to a Managing Director, Whole-time Director or Manager. The amount of compensation cannot exceed the remuneration which he would have earned if he would have been in the office for the unexpired term of his office or for 3 years whichever is shorter. No compensation shall be paid, if the director has been found guilty of fraud or breach of trust or gross negligence in the conduct of the affairs of the company.

In light of the above provisions of law, the company is not liable to pay any compensation to Mr. Doubtful, if he has been found guilty of fraud or breach of trust or gross negligence in the conduct of affairs of the company. But it is not proper on the part of the company to withhold the payment of compensation on the basis of mere allegations. The compensation payable by the company to Mr. Doubtful would be ₹ 25 Lakhs calculated at the rate of ₹ 12 Lakhs per annum for unexpired term of 25 months.

Question 8 (C5) (4M) (Dec 2023 Old PQ)

Mr. R was appointed as a whole-time director and was heading the marketing department in SMP Limited. As a cost saving measure, he was removed from the office as whole-time director. Mr. R demanded compensation for loss of office. Explaining the relevant provisions of the Companies Act, 2013, state whether he is entitled to compensation. If yes, how the compensation amount will be calculated?

Answer

According to Section 202 of the Companies Act, 2013, A company may make payment to a Managing Director or Whole-time director or Manager (but not to any other director) by means of compensation for loss of office, or as consideration for retirement from office.

Here, in the given instance Mr. R the whole-time director was forced to be removed from office as cost saving measure. Yes, he is entitled for compensation.
The amount of compensation cannot exceed the remuneration which he would have earned if he would have been in the office for the unexpired term of his office or for 3 years whichever is shorter.

Additional Questions

Question 1 (C5) (SM) (2M) (June 2019 Old PQ)

Who are KMPs and which categories of companies are supposed to have KMPs?

Answer

According to Section 203(1) of the Companies Act, 2013,

a) Every listed company
b) Every other public company having a paid up share capital of ₹ 10 crores

shall have the following whole time key managerial personnel:

a) Managing Director or Chief Executive Officer or Manager and in their absence, a whole time Director.
b) Company Secretary and
c) Chief Financial Officer.

Every private company which has a paid up share capital of ₹ 10 crores or more shall have a whole time company secretary.

Question 2 (8M) (June 2017 Old PQ)

Can a Company pay compensation to its directors for loss of office? Briefly explain the relevant provisions of the Companies Act, 2013 in this regard.

Answer

According to Section 202(1) of the Companies Act, 2013, A company may make payment to a managing or whole-time director or manager, but not to any other director, by way of compensation for loss of office, or as consideration for retirement from office.

No payment of compensation shall be made in the following cases:

a) where the director resigns from his office as a result of the reconstruction/amalgamation of the company with any other body corporate and is appointed as the director of the reconstructed company or of amalgamated company
b) where the director resigns from his office in normal course
c) where the office of the director is vacated under Section 167.
d) Where the company is being wound up due to the negligence or default of the director.
e) where the director has been guilty of fraud or breach of trust in relation to the conduct of the affairs of the company or any subsidiary company or holding company
f) where the director has intentionally taken part directly or indirectly in bringing about the termination of his office.

The amount of compensation shall not exceed the remuneration he would have earned if he would have been in office for the remainder of his term or 3 years, whichever is lower.
No payment can be made at all if winding up of the company is commenced whether before or within 12 months after, the date of loss of office, if the assets are not sufficient to repay the shareholders. Nothing in this section shall be deemed to prohibit the payment to a director of any remuneration for services rendered by him to the company in any other capacity.

Question 3 **(7M) (MQP Dec 2025 Set 1)**

Explain the limit with regard to remuneration fixed by the Central Government or the company under Section 200 of the Companies Act, 2013?

Answer

The Company may, while according its approval under section 196, to any appointment or to any remuneration under section 197 in respect of cases where the company has inadequate or no profits, fix the remuneration within the limits specified in this Act, at such amount or percentage of profits of the company, considering the following-

1) the financial position of the Company
2) the remuneration or commission drawn by the individual concerned in any other capacity.
3) the remuneration or commission drawn by him from any other company.
4) professional qualifications and experience of the individual concerned.
5) any other matters as may be prescribed.

The company shall also have regard to the following matters, namely:

1) the Financial and operating performance of the company during the 3 preceding financial years.
2) the relationship between remuneration and performance.
3) the principle of proportionality of remuneration within the company, ideally by a rating methodology which compares the remuneration of directors to that of other directors on the board and employees or executives of the company.
4) whether remuneration policy for directors differs from remuneration policy for other employees and if so, an explanation for the difference.
5) the securities held by the director, including options and details of the shares pledged as at the end of the preceding financial year.